

Statement 10: Australian Government Budget Financial Statements

Consistent with the *Charter of Budget Honesty Act 1998* (the Charter), the Government has produced a set of financial statements for the Australian Government general government sector (GGS), the public non-financial corporations (PNFC) sector, the total non-financial public sector (NFPS) and the public financial corporations (PFC) sector. The financial statements comply with both the Australian Bureau of Statistics' (ABS) accrual Government Finance Statistics (GFS) and Australian Accounting Standards (AAS), with departures disclosed. These statements are:

- an operating statement, including other economic flows, which shows net operating balance and net lending/borrowing (fiscal balance)
- a balance sheet, which shows net worth, net financial worth, net financial liabilities and net debt
- a cash flow statement, which includes the calculation of the underlying cash balance.

In addition to these general purpose statements, notes to the financial statements are required. These notes include a summary of accounting policies, disaggregated information and other disclosures required by AAS.

The statements reflect the Government's policy that the ABS GFS remains the basis of budget accounting policy, except where AAS is applied because it provides a better conceptual basis for presenting information of relevance to users of public sector financial reports.

The Australian, state and territory governments have an agreed framework – the Uniform Presentation Framework (UPF) – for the presentation of government financial information on a basis broadly consistent with the Australian Accounting Standard AASB 1049. The financial statements are consistent with the requirements of the UPF.



Statement 10 contents

Australian Government Budget Financial Statements	363
Notes to the general government sector financial statements	378
Note 1: External reporting standards and accounting policies	378
Note 2: Departures from external reporting standards	379
Note 3: Taxation revenue by type	382
Note 3(a): Taxation revenue by source	383
Note 4: Sales of goods and services revenue	383
Note 5: Interest and dividend and distribution revenue	384
Note 6: Other sources of non-taxation revenue	384
Note 7: Employee and superannuation expense	385
Note 8: Depreciation and amortisation expense	385
Note 9: Supply of goods and services expense	386
Note 10: Interest expense	386
Note 11: Current and capital grants expense	387
Note 12: Personal benefits expense	387
Note 13: Advances paid and other receivables	388
Note 14: Investments, loans and placements	388
Note 15: Non-financial assets	389
Note 16: Loans	390
Note 17: Employee and superannuation liabilities	390
Note 18: Provisions and payables	391
Note 19: Reconciliation of cash	392
Appendix A: Financial reporting standards and budget concepts	393
AASB 1049 Conceptual framework	393
Operating statement	394
Balance sheet	395
Cash flow statement	397
Appendix B: Assets and Liabilities	401
Overview	401
The Australian Government's assets and liabilities	401
Assets	401
Liabilities	414



Statement 10: Australian Government Budget Financial Statements

Table 10.1: Australian Government general government sector operating statement

	Note	Estimates				
		2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Revenue						
Taxation revenue	3	716,622	756,283	775,492	800,955	845,780
Sales of goods and services	4	22,213	23,821	24,939	25,066	25,094
Interest income	5	10,216	11,224	11,697	12,433	13,339
Dividend and distribution income	5	7,591	7,805	8,338	9,134	9,904
Other	6	16,439	16,195	15,822	15,884	16,031
Total revenue		773,081	815,328	836,287	863,473	910,148
Expenses						
Gross operating expenses						
Wages and salaries(a)	7	31,790	33,406	32,886	32,674	32,652
Superannuation	7	9,287	9,443	9,534	9,806	10,206
Depreciation and amortisation	8	13,888	14,771	15,151	15,682	16,171
Supply of goods and services	9	232,351	242,121	244,748	252,551	259,733
Other operating expenses(a)	7	16,018	14,265	15,484	17,309	17,770
Total gross operating expenses		303,334	314,007	317,803	328,022	336,531
Superannuation interest expense	7	14,803	15,884	16,336	16,708	17,092
Interest expenses	10	38,310	43,364	48,806	51,533	55,720
Current transfers						
Current grants	11	224,901	236,419	246,885	256,592	267,920
Subsidy expenses		19,424	19,733	19,500	19,715	20,796
Personal benefits	12	171,296	181,397	191,416	200,086	213,775
Total current transfers		415,621	437,548	457,801	476,392	502,491
Capital transfers	11					
Mutually agreed write-downs		13,206	2,517	2,639	2,770	2,898
Other capital grants		26,790	19,942	20,273	20,648	18,995
Total capital transfers		39,996	22,459	22,912	23,418	21,893
Total expenses		812,063	833,262	863,659	896,074	933,727
Net operating balance		-38,982	-17,934	-27,371	-32,601	-23,579
Other economic flows – included in operating result						
Net write-downs of assets		-7,578	-10,495	-12,564	-12,048	-12,847
Assets recognised for the first time		570	408	429	449	467
Actuarial revaluations		1,433	-99	-106	-112	-118
Net foreign exchange gains		84	-151	0	0	0
Net swap interest received		562	14	9	0	0
Market valuation of debt		24,015	-14,354	-13,232	-12,157	-10,950
Other gains/(losses)		13,884	10,819	11,500	12,271	13,084
Total other economic flows – included in operating result		32,969	-13,859	-13,965	-11,597	-10,364
Operating result(b)		-6,012	-31,793	-41,336	-44,198	-33,943

Table 10.1: Australian Government general government sector operating statement (continued)

	Note	Estimates				
		2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Non-owner movements in equity						
Revaluation of equity investments		-433	-169	0	0	0
Actuarial revaluations		-1,771	-240	-240	-238	-235
Other economic revaluations		92	163	2,106	175	2,747
Total other economic flows - included in equity		-2,111	-246	1,866	-63	2,512
Comprehensive result -						
Total change in net worth		-8,124	-32,039	-39,470	-44,261	-31,431
Net operating balance		-38,982	-17,934	-27,371	-32,601	-23,579
Net acquisition of non-financial assets						
Purchases of non-financial assets		24,487	26,014	26,662	26,360	27,733
<i>less</i> Sales of non-financial assets		446	141	2,246	1,389	3,159
<i>less</i> Depreciation		13,888	14,771	15,151	15,682	16,171
<i>plus</i> Change in inventories		1,005	884	916	900	944
<i>plus</i> Other movements in non-financial assets		0	0	0	0	0
Total net acquisition of non-financial assets		11,158	11,986	10,181	10,188	9,348
Fiscal balance						
(Net lending/borrowing)(c)		-50,139	-29,920	-37,552	-42,789	-32,927

- a) Consistent with the ABS GFS classification, other employee related expenses are classified separately from wages and salaries under other operating expenses. Total employee expenses equal wages and salaries plus other operating expenses.
- b) Operating result under AAS.
- c) The term fiscal balance is not used by the ABS.

Table 10.2: Australian Government general government sector balance sheet

		Estimates				
	Note	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Assets						
Financial assets						
Cash and deposits		73,677	63,669	67,839	69,962	71,879
Advances paid	13	72,420	88,350	100,936	113,722	123,233
Investments, loans and placements	14	261,106	271,315	278,493	289,210	300,983
Other receivables	13	96,739	106,461	113,137	119,665	127,025
Equity investments						
Investments in other public sector entities		51,763	59,299	64,048	67,162	69,606
Equity accounted investments		6,762	6,829	6,832	6,832	6,810
Investments - shares		127,854	135,852	144,719	155,250	164,413
Total financial assets		690,320	731,775	776,003	821,802	863,948
Non-financial assets						
	15					
Land		15,576	15,712	15,884	15,653	15,681
Buildings		54,872	56,515	58,259	57,949	57,555
Plant, equipment and infrastructure		124,227	131,694	140,534	150,544	161,878
Inventories		13,586	14,029	14,487	14,914	15,373
Intangibles		15,851	17,258	17,195	16,457	15,823
Investment properties		225	225	225	226	226
Biological assets		5	5	5	5	5
Heritage and cultural assets		13,195	13,213	13,232	13,242	13,252
Assets held for sale		40	35	35	35	35
Other non-financial assets		6	6	6	6	6
Total non-financial assets		237,582	248,693	259,864	269,032	279,835
Total assets		927,902	980,469	1,035,867	1,090,833	1,143,783
Liabilities						
Interest bearing liabilities						
Deposits held		416	416	416	416	416
Government securities		910,584	987,626	1,063,702	1,147,053	1,214,034
Loans	16	32,987	33,670	34,340	34,424	34,360
Lease liabilities		19,215	18,243	17,574	16,517	15,087
Total interest bearing liabilities		963,202	1,039,955	1,116,032	1,198,411	1,263,897

Table 10.2: Australian Government general government sector balance sheet (continued)

	Note	Estimates				
		2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Provisions and payables						
Superannuation liability	17	317,789	326,908	336,151	344,125	352,061
Other employee liabilities	17	97,182	99,429	102,443	106,515	110,636
Suppliers payables	18	14,124	14,444	16,763	18,785	19,635
Personal benefits payables	18	4,840	4,860	4,534	4,929	5,401
Subsidies payables	18	632	612	612	612	612
Grants payables	18	6,204	5,819	6,278	6,348	5,995
Other payables	18	6,747	6,359	6,263	6,179	6,149
Provisions	18	132,078	129,016	133,196	135,596	141,493
<i>Total provisions and payables</i>		<i>579,596</i>	<i>587,447</i>	<i>606,239</i>	<i>623,088</i>	<i>641,982</i>
Total liabilities		1,542,798	1,627,403	1,722,272	1,821,499	1,905,879
Net worth(a)		-614,895	-646,934	-686,404	-730,666	-762,096
<i>Net financial worth(b)</i>		<i>-852,477</i>	<i>-895,627</i>	<i>-946,268</i>	<i>-999,698</i>	<i>-1,041,931</i>
<i>Net financial liabilities(c)</i>		<i>904,240</i>	<i>954,927</i>	<i>1,010,316</i>	<i>1,066,859</i>	<i>1,111,537</i>
<i>Net debt(d)</i>		<i>555,999</i>	<i>616,621</i>	<i>668,765</i>	<i>725,518</i>	<i>767,803</i>

a) Net worth equals total assets minus total liabilities.

b) Net financial worth equals total financial assets minus total liabilities.

c) Net financial liabilities equals total liabilities less financial assets other than investments in other public sector entities.

d) Net debt is the sum of interest bearing liabilities less the sum of selected financial assets (cash and deposits, advances paid and investments, loans and placements).

Table 10.3: Australian Government general government sector cash flow statement^(a)

	Estimates				
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Cash receipts from operating activities					
Taxes received	699,529	737,101	756,961	782,898	826,240
Receipts from sales of goods and services	21,760	23,299	24,847	25,024	25,042
Interest receipts	9,329	9,636	9,696	10,056	10,538
Dividends, distributions and income tax equivalents	7,630	7,768	8,304	9,098	9,868
Other receipts	21,313	20,117	20,777	19,883	19,912
Total operating receipts	759,562	797,922	820,586	846,959	891,600
Cash payments for operating activities					
Payments to employees(b)	-50,824	-53,690	-54,309	-54,578	-55,415
Payments for goods and services	-228,322	-241,434	-242,742	-249,997	-258,264
Grants and subsidies paid	-272,284	-284,106	-290,202	-299,657	-307,795
Interest paid	-27,058	-29,566	-36,364	-38,026	-42,264
Personal benefit payments	-171,517	-182,086	-191,860	-200,248	-213,861
Other payments(b)	-12,544	-12,000	-12,150	-13,331	-13,745
Total operating payments	-762,549	-802,882	-827,627	-855,838	-891,344
Net cash flows from operating activities	-2,987	-4,960	-7,041	-8,878	256
Cash flows from investments in non-financial assets					
Sales of non-financial assets	210	176	2,281	1,424	3,194
Purchases of non-financial assets	-22,676	-23,900	-23,429	-24,242	-25,973
Net cash flows from investments in non-financial assets	-22,466	-23,724	-21,149	-22,818	-22,779
Net cash flows from investments in financial assets for policy purposes	-19,629	-32,544	-23,334	-22,785	-15,704
Net cash flows from investments in financial assets for liquidity purposes	-3,899	-5,371	-2,683	-6,281	-6,642
Cash receipts from financing activities					
Borrowing	291,910	808,451	936,667	1,020,484	1,005,163
Other financing	9,863	123	70	11	3
Total cash receipts from financing activities	301,773	808,574	936,736	1,020,495	1,005,166
Cash payments for financing activities					
Borrowing	-243,840	-747,312	-875,411	-954,779	-956,206
Other financing	-14,147	-4,670	-2,950	-2,830	-2,173
Total cash payments for financing activities	-257,987	-751,982	-878,361	-957,609	-958,379
Net cash flows from financing activities	43,786	56,592	58,375	62,886	46,787
Net increase/(decrease) in cash held	-5,196	-10,007	4,169	2,123	1,917

Table 10.3: Australian Government general government sector cash flow statement (continued)^(a)

	Estimates				
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
GFS cash surplus(+)/deficit(-)(c)	-25,453	-28,684	-28,189	-31,696	-22,524
<i>plus</i> Principal payments of lease liabilities(d)	-2,831	-2,858	-2,810	-2,749	-2,735
Equals underlying cash balance(e)	-28,284	-31,542	-31,000	-34,445	-25,259
<i>plus</i> Net cash flows from investments in financial assets for policy purposes	-19,629	-32,544	-23,334	-22,785	-15,704
Equals headline cash balance	-47,913	-64,086	-54,333	-57,230	-40,963

a) A positive number denotes a cash inflow; a negative number denotes a cash outflow.

b) Consistent with the ABS GFS classification, other employee related payments are classified separately from wages and salaries under other payments.

c) GFS cash surplus/deficit equals net cash flows from operating activities and investments in non-financial assets.

d) Principal payments of lease liabilities, which are financing cash payments, are deducted in the calculation of the underlying cash balance to maintain consistency of measure following the implementation of AASB 16.

e) The term underlying cash balance is not used by the ABS.

Table 10.4: Australian Government public non-financial corporations sector operating statement

	Estimates	
	2025-26 \$m	2026-27 \$m
Revenue		
Grants and subsidies	183	100
Sales of goods and services	24,165	25,137
Interest income	45	33
Other	69	70
Total revenue	24,462	25,340
Expenses		
Gross operating expenses		
Wages and salaries(a)	5,539	5,367
Superannuation	661	672
Depreciation and amortisation	4,514	4,889
Supply of goods and services	12,287	12,395
Other operating expenses(a)	877	908
<i>Total gross operating expenses</i>	<i>23,879</i>	<i>24,230</i>
Interest expenses	2,349	2,601
Other property expenses	151	106
Current transfers		
Tax expenses	119	49
<i>Total current transfers</i>	<i>119</i>	<i>49</i>
Total expenses	26,499	26,987
Net operating balance	-2,038	-1,646
Other economic flows	-1,249	-924
Comprehensive result - Total change in net worth excluding contribution from owners	-3,287	-2,570
Net acquisition of non-financial assets		
Purchases of non-financial assets	13,454	12,608
<i>less</i> Sales of non-financial assets	<i>455</i>	<i>460</i>
<i>less</i> Depreciation	<i>4,514</i>	<i>4,889</i>
<i>plus</i> Change in inventories	<i>11</i>	<i>-1</i>
<i>plus</i> Other movements in non-financial assets	<i>20</i>	<i>6</i>
Total net acquisition of non-financial assets	8,517	7,264
Fiscal balance (Net lending/borrowing)(b)	-10,554	-8,910

a) Consistent with the ABS GFS classification, other employee related expenses are classified separately from wages and salaries under other operating expenses. Total employee expenses equal wages and salaries plus other operating expenses.

b) The term fiscal balance is not used by the ABS.

Table 10.5: Australian Government public non-financial corporations sector balance sheet

	Estimates	
	2025-26 \$m	2026-27 \$m
Assets		
Financial assets		
Cash and deposits	1,252	2,457
Investments, loans and placements	918	843
Other receivables	6,792	6,859
Equity investments	390	415
<i>Total financial assets</i>	<i>9,352</i>	<i>10,573</i>
Non-financial assets		
Land and other fixed assets	87,849	94,147
Other non-financial assets(a)	4,468	4,566
<i>Total non-financial assets</i>	<i>92,318</i>	<i>98,713</i>
Total assets	101,670	109,286
Liabilities		
Interest bearing liabilities		
Deposits held	0	0
Advances received and loans	42,921	46,277
Lease liabilities	14,628	14,762
<i>Total interest bearing liabilities</i>	<i>57,549</i>	<i>61,039</i>
Provisions and payables		
Superannuation liability	7	7
Other employee liabilities	2,023	2,047
Other payables	6,795	7,000
Other provisions(a)	1,048	1,161
<i>Total provisions and payables</i>	<i>9,874</i>	<i>10,214</i>
Total liabilities	67,423	71,253
Shares and other contributed capital	34,247	38,033
Net worth(b)	34,247	38,033
<i>Net financial worth(c)</i>	<i>-58,071</i>	<i>-60,680</i>
<i>Net debt(d)</i>	<i>55,379</i>	<i>57,739</i>

a) Excludes the impact of commercial taxation adjustments.

b) Under AASB 1049, net worth equals total assets minus total liabilities. Under the ABS GFS, net worth equals total assets minus total liabilities minus shares and other contributed capital. The AASB 1049 method is used in this table.

c) Under AASB 1049, net financial worth equals total financial assets minus total liabilities. Under the ABS GFS, net financial worth equals total financial assets minus total liabilities minus shares and other contributed capital. The AASB 1049 method is used in this table.

d) Net debt is the sum of interest bearing liabilities less the sum of selected financial assets (cash and deposits and investments, loans and placements).

Table 10.6: Australian Government public non-financial corporations sector cash flow statement^(a)

	Estimates	
	2025-26 \$m	2026-27 \$m
Cash receipts from operating activities		
Receipts from sales of goods and services	26,451	28,734
Grants and subsidies received	37	152
GST input credit receipts	148	90
Other receipts	53	35
Total operating receipts	26,688	29,011
Cash payments for operating activities		
Payments to employees(b)	-6,021	-6,024
Payments for goods and services	-14,337	-15,471
Interest paid	-2,675	-2,990
GST payments to taxation authority	-407	-545
Distributions paid	-154	-106
Other payments(b)	-1,072	-901
Total operating payments	-24,666	-26,037
Net cash flows from operating activities	2,022	2,975
Cash flows from investments in non-financial assets		
Sales of non-financial assets	243	460
Purchases of non-financial assets	-12,028	-11,111
Net cash flows from investments in non-financial assets	-11,785	-10,651
Net cash flows from investments in financial assets for policy purposes	-4	0
Net cash flows from investments in financial assets for liquidity purposes	113	32
Net cash flows from financing activities		
Borrowing (net)	3,985	3,208
Other financing (net)	4,552	5,641
Net cash flows from financing activities	8,537	8,849
Net increase/(decrease) in cash held	-1,115	1,205
Cash at the beginning of the year	2,368	1,252
Cash at the end of the year	1,252	2,457
GFS cash surplus(+)/deficit(-)(c)	-9,762	-7,676
<i>plus</i> Principal payments of lease liabilities(d)	-406	-609
Adjusted GFS cash surplus(+)/deficit(-)(d)	-10,168	-8,285

a) A positive number denotes a cash inflow; a negative number denotes a cash outflow.

b) Consistent with the ABS GFS classification, other employee related payments are classified separately from wages and salaries under other payments.

c) GFS cash surplus/deficit equals net cash flows from operating activities and investments in non-financial assets.

d) Principal payments of lease liabilities, which are financing cash payments, are deducted in the calculation of the GFS cash surplus/deficit to maintain consistency of measure following the implementation of AASB 16.

Table 10.7: Australian Government total non-financial public sector operating statement

	Estimates	
	2025-26 \$m	2026-27 \$m
Revenue		
Taxation revenue	716,215	756,056
Sales of goods and services	44,105	46,721
Interest income	10,200	11,062
Dividend and distribution income	7,443	7,701
Other	16,490	16,245
Total revenue	794,455	837,784
Expenses		
Gross operating expenses		
Wages and salaries(a)	37,304	38,741
Superannuation	9,948	10,115
Depreciation and amortisation	18,402	19,660
Supply of goods and services	242,440	252,332
Other operating expenses(a)	16,898	15,175
<i>Total gross operating expenses</i>	<i>324,993</i>	<i>336,024</i>
Superannuation interest expense	14,803	15,884
Interest expenses	40,599	45,770
Current transfers		
Current grants	224,901	236,419
Subsidy expenses	19,174	19,470
Personal benefits	171,296	181,397
<i>Total current transfers</i>	<i>415,371</i>	<i>437,286</i>
Capital transfers	39,854	22,402
Total expenses	835,619	857,366
Net operating balance	-41,164	-19,581
Other economic flows	29,715	-14,489
Comprehensive result - Total change in net worth	-11,449	-34,070
Net acquisition of non-financial assets		
Purchases of non-financial assets	37,864	38,571
<i>less</i> Sales of non-financial assets	<i>900</i>	<i>601</i>
<i>less</i> Depreciation	<i>18,402</i>	<i>19,660</i>
<i>plus</i> Change in inventories	<i>1,016</i>	<i>883</i>
<i>plus</i> Other movements in non-financial assets	<i>20</i>	<i>6</i>
Total net acquisition of non-financial assets	19,598	19,199
Fiscal balance (Net lending/borrowing)(b)	-60,762	-38,780

a) Consistent with the ABS GFS classification, other employee related expenses are classified separately from wages and salaries under other operating expenses. Total employee expenses equal wages and salaries plus other operating expenses.

b) The term fiscal balance is not used by the ABS.

Table 10.8: Australian Government total non-financial public sector balance sheet

	Estimates	
	2025-26 \$m	2026-27 \$m
Assets		
Financial assets		
Cash and deposits	74,929	66,126
Advances paid	70,792	83,826
Investments, loans and placements	261,985	272,119
Other receivables	102,531	112,153
Equity investments	137,508	147,318
<i>Total financial assets</i>	<i>647,745</i>	<i>681,542</i>
Non-financial assets		
Land and other fixed assets	309,186	325,141
Other non-financial assets	20,367	21,867
<i>Total non-financial assets</i>	<i>329,552</i>	<i>347,007</i>
Total assets	977,298	1,028,550
Liabilities		
Interest bearing liabilities		
Deposits held	416	416
Government securities	910,584	987,626
Advances received and loans	74,240	75,384
Lease liabilities	33,843	33,005
<i>Total interest bearing liabilities</i>	<i>1,019,084</i>	<i>1,096,431</i>
Provisions and payables		
Superannuation liability	317,795	326,914
Other employee liabilities	99,205	101,476
Other payables	38,840	38,415
Other provisions	132,754	129,763
<i>Total provisions and payables</i>	<i>588,594</i>	<i>596,568</i>
Total liabilities	1,607,678	1,693,000
Net worth(a)	-630,380	-664,450
<i>Net financial worth(b)</i>	<i>-959,932</i>	<i>-1,011,457</i>
<i>Net debt(c)</i>	<i>611,378</i>	<i>674,360</i>

a) Under AASB 1049, net worth equals total assets minus total liabilities. Under the ABS GFS, net worth equals total assets minus total liabilities minus shares and other contributed capital. The AASB 1049 method is used in this table.

b) Under AASB 1049, net financial worth equals total financial assets minus total liabilities. Under the ABS GFS, net financial worth equals total financial assets minus total liabilities minus shares and other contributed capital. The AASB 1049 method is used in this table.

c) Net debt is the sum of interest bearing liabilities less the sum of selected financial assets (cash and deposits, advances paid and investments, loans and placements).

Table 10.9: Australian Government total non-financial public sector cash flow statement^(a)

	Estimates	
	2025-26 \$m	2026-27 \$m
Cash receipts from operating activities		
Taxes received	699,441	737,105
Receipts from sales of goods and services	43,685	47,232
Interest receipts	9,297	9,457
Dividends, distributions and income tax equivalents	7,479	7,664
Other receipts	21,277	19,971
Total operating receipts	781,180	821,429
Cash payments for operating activities		
Payments to employees(b)	-56,819	-59,683
Payments for goods and services	-238,420	-252,573
Grants and subsidies paid	-272,232	-283,836
Interest paid	-29,655	-32,343
Personal benefit payments	-171,517	-182,086
Other payments(b)	-13,501	-12,892
Total operating payments	-782,145	-823,415
Net cash flows from operating activities	-965	-1,985
Cash flows from investments in non-financial assets		
Sales of non-financial assets	454	636
Purchases of non-financial assets	-34,704	-35,011
Net cash flows from investments in non-financial assets	-34,251	-34,375
Net cash flows from investments in financial assets for policy purposes	-13,124	-23,293
Net cash flows from investments in financial assets for liquidity purposes	-3,786	-5,339
Net cash flows from financing activities		
Borrowing (net)	50,614	61,452
Other financing (net)	-4,799	-5,262
Net cash flows from financing activities	45,815	56,190
Net increase/(decrease) in cash held	-6,311	-8,803
Cash at the beginning of the year	81,240	74,929
Cash at the end of the year	74,929	66,126
GFS cash surplus(+)/deficit(-)(c)	-35,216	-36,360
<i>plus</i> Principal payments of lease liabilities(d)	-3,237	-3,467
Adjusted GFS cash surplus(+)/deficit(-)(d)	-38,452	-39,827

a) A positive number denotes a cash inflow; a negative number denotes a cash outflow.

b) Consistent with the ABS GFS classification, other employee related payments are classified separately from wages and salaries under other payments.

c) GFS cash surplus/deficit equals net cash flows from operating activities and investments in non-financial assets.

d) Principal payments of lease liabilities, which are financing cash payments, are deducted in the calculation of the GFS cash surplus/deficit to maintain consistency of measure following the implementation of AASB 16.

Table 10.10: Australian Government public financial corporations sector operating statement

	Estimates	
	2025-26 \$m	2026-27 \$m
Revenue		
Grants and subsidies	279	295
Sales of goods and services	1,702	1,835
Interest income	9,609	8,874
Other	7	8
Total revenue	11,598	11,012
Expenses		
Gross operating expenses		
Wages and salaries(a)	469	453
Superannuation	49	55
Depreciation and amortisation	60	63
Supply of goods and services	1,411	1,717
Other operating expenses(a)	102	99
<i>Total gross operating expenses</i>	<i>2,092</i>	<i>2,386</i>
Interest expenses	9,990	9,526
Other property expenses	40	244
Current transfers		
Tax expenses	13	12
<i>Total current transfers</i>	<i>13</i>	<i>12</i>
Total expenses	12,134	12,168
Net operating balance	-536	-1,156
Other economic flows	1,390	3,481
Comprehensive result - Total change in net worth excluding contribution from owners	853	2,325
Net acquisition of non-financial assets		
Purchases of non-financial assets	209	0
<i>less</i> Sales of non-financial assets	<i>0</i>	<i>0</i>
<i>less</i> Depreciation	<i>60</i>	<i>63</i>
<i>plus</i> Change in inventories	<i>-103</i>	<i>0</i>
<i>plus</i> Other movements in non-financial assets	<i>0</i>	<i>0</i>
Total net acquisition of non-financial assets	46	-63
Fiscal balance (Net lending/borrowing)(b)	-582	-1,094

a) Consistent with the ABS GFS classification, other employee related expenses are classified separately from wages and salaries under other operating expenses. Total employee expenses equal wages and salaries plus other operating expenses.

b) The term fiscal balance is not used by the ABS.

Table 10.11: Australian Government public financial corporations sector balance sheet^(a)

	Estimates	
	2025-26 \$m	2026-27 \$m
Assets		
Financial assets		
Cash and deposits	1,140	1,205
Investments, loans and placements	386,003	392,440
Other receivables	334	334
Equity investments	1,871	1,676
<i>Total financial assets</i>	<i>389,348</i>	<i>395,655</i>
Non-financial assets		
Land and other fixed assets	835	826
Other non-financial assets(b)	50	49
<i>Total non-financial assets</i>	<i>885</i>	<i>875</i>
Total assets	390,232	396,529
Liabilities		
Interest bearing liabilities		
Deposits held	364,808	364,808
Borrowing	9,923	13,609
<i>Total interest bearing liabilities</i>	<i>374,730</i>	<i>378,417</i>
Provisions and payables		
Superannuation liability	0	0
Other employee liabilities	211	213
Other payables	12,257	12,270
Other provisions(b)	4,833	4,989
<i>Total provisions and payables</i>	<i>17,302</i>	<i>17,473</i>
Total liabilities	392,032	395,889
Shares and other contributed capital	-1,800	640
Net worth(c)	-1,800	640
<i>Net financial worth(d)</i>	<i>-2,685</i>	<i>-235</i>
<i>Net debt(e)</i>	<i>-12,412</i>	<i>-15,228</i>

a) Assumes no valuation or currency movement.

b) Excludes the impact of commercial taxation adjustments.

c) Under AASB 1049, net worth equals total assets minus total liabilities. Under the ABS GFS, net worth equals total assets minus total liabilities minus shares and other contributed capital. The AASB 1049 method is used in this table.

d) Under AASB 1049, net financial worth equals total financial assets minus total liabilities. Under the ABS GFS, net financial worth equals total financial assets minus total liabilities minus shares and other contributed capital. The AASB 1049 method is used in this table.

e) Net debt is the sum of interest bearing liabilities less the sum of selected financial assets (cash and deposits and investments, loans and placements).

Table 10.12: Australian Government public financial corporations sector cash flow statement^(a)

	Estimates	
	2025-26 \$m	2026-27 \$m
Cash receipts from operating activities		
Receipts from sales of goods and services	1,864	1,828
Grants and subsidies received	279	295
GST input credit receipts	4	5
Interest receipts	9,139	8,833
Other receipts	160	35
Total operating receipts	11,447	10,995
Cash payments for operating activities		
Payments to employees(b)	-513	-510
Payments for goods and services	-1,244	-1,973
Interest paid	-10,047	-9,237
GST payments to taxation authority	0	0
Distributions paid	-56	-255
Other payments(b)	-101	-97
Total operating payments	-11,961	-12,071
Net cash flows from operating activities	-514	-1,076
Cash flows from investments in non-financial assets		
Sales of non-financial assets	0	0
Purchases of non-financial assets	-147	0
Net cash flows from investments in non-financial assets	-147	0
Net cash flows from investments in financial assets for policy purposes	-1,218	-3,704
Net cash flows from investments in financial assets for liquidity purposes(c)	28,145	1,060
Net cash flows from financing activities		
Borrowing and deposits received (net)(c)	-31,543	3,691
Other financing (net)	5,080	94
Net cash flows from financing activities	-26,463	3,785
Net increase/(decrease) in cash held	-197	65
Cash at the beginning of the year	1,337	1,140
Cash at the end of the year	1,140	1,205
GFS cash surplus(+)/deficit(-)(d)	-661	-1,076
<i>plus</i> Principal payments of lease liabilities(e)	-34	-3
Adjusted GFS cash surplus(+)/deficit(-)(e)	-695	-1,079

a) A positive number denotes a cash inflow; a negative number denotes a cash outflow.

b) Consistent with the ABS GFS classification, other employee related payments are classified separately from wages and salaries under other payments.

c) Assumes no cash flows associated with valuation or currency movements.

d) GFS cash surplus/deficit equals net cash flows from operating activities and investments in non-financial assets.

e) Principal payments of lease liabilities, which are financing cash payments, are deducted in the calculation of the GFS cash surplus/deficit to maintain consistency of measure following the implementation of AASB 16.

Notes to the general government sector financial statements

Note 1: External reporting standards and accounting policies

The *Charter of Budget Honesty Act 1998* (the Charter) requires that the Budget be based on external reporting standards and that departures from applicable external reporting standards be identified.

The external standards used for Budget reporting purposes are:

- the Australian Bureau of Statistics' (ABS) accrual Government Finance Statistics (GFS) publication, *Australian System of Government Finance Statistics: Concepts, Sources and Methods*, 2015 (cat. no. 5514.0), which is based on the International Monetary Fund (IMF) accrual GFS framework
- the Australian Accounting Standards (AAS), issued by the Australian Accounting Standards Board (AASB), which includes International Financial Reporting Standards as adopted in Australia for use by the not-for-profit sector and specific standards such as AASB 1049 *Whole of Government and General Government Sector Financial Reporting* (AASB 1049).

The financial statements have been prepared on an accrual basis that complies with both the ABS GFS and AAS, except for departures disclosed at Note 2. A more detailed description of the AAS and the ABS GFS frameworks, in addition to definitions of key terms used in these frameworks, can be found in Appendix A. Detailed accounting policies, as well as a set of notes and other disclosures as required by AAS, are disclosed in the Australian Government Consolidated Financial Statements.

Fiscal reporting focuses on the general government sector (GGS). The GGS provides public services that are mainly non-market in nature and for the collective consumption of the community, or involve the transfer or redistribution of income. These services are largely financed through taxes and other compulsory levies. This sector comprises all government departments, offices and some other bodies. In preparing financial statements for the GGS, all material transactions and balances between entities within the GGS have been eliminated.

The Government's key fiscal aggregates are based on the ABS GFS concepts and definitions, including the ABS GFS cash surplus/deficit and net financial worth. AASB 1049 requires the disclosure of other ABS GFS fiscal aggregates, including the net operating balance, net lending/borrowing (fiscal balance) and net worth. In addition to these ABS GFS aggregates, the Uniform Presentation Framework (UPF) requires disclosure of net debt, net financial worth and net financial liabilities.

AASB 1049 and the UPF also provide a basis for reporting the public non-financial corporations (PNFC) and public financial corporations (PFC) sectors and the total non-financial public sector (NFPS).

AASB 1049 requires disaggregated information, by ABS GFS function, for expenses and total assets to be disclosed where they are reliably attributable. The ABS GFS does not require total assets to be attributed to functions. In accordance with the ABS GFS, disaggregated information for expenses and net acquisition of non-financial assets by function is disclosed in *Statement 6: Expenses and Net Capital Investment*. In accordance with the UPF, purchases of non-financial assets by function are also disclosed in *Statement 6*.

AASB 1055 *Budgetary Reporting* requires major variances between original budget estimates and outcomes to be explained in the financial statements. Explanations of variances in fiscal balance, revenue, expenses, net capital investment, cash flows, net debt, net financial worth and net worth since the 2025–26 Budget are disclosed in the *Pre-election Economic and Fiscal Outlook 2025* (PEFO), *Mid-Year Economic and Fiscal Outlook 2025–26* (MYEFO), and *Statement 3: Fiscal Strategy and Outlook*, with decisions taken since the 2025–26 MYEFO disclosed in Budget Paper No. 2 *Budget Measures 2026–27*. All policy decisions taken between the 2025–26 Budget and the 2025–26 MYEFO are disclosed in PEFO or Appendix A of MYEFO.

Details of the Australian Government’s fiscal risks, contingent liabilities and assets, and government loans are disclosed in *Statement 9: Statement of Risks*.

Note 2: Departures from external reporting standards

The Charter requires that departures from applicable external reporting standards be identified. The major differences between AAS and the ABS GFS treatments of transactions are outlined in Table 10.13.

AASB 1049 requires AAS measurement of items to be disclosed on the face of the financial statements with reconciliation to the ABS GFS measurement of key fiscal aggregates, where different, in notes to the financial statements. Only one measure of each aggregate has been included on the face statements to avoid confusion.

Further information on the differences between the two systems is provided in the ABS publication *Australian System of Government Finance Statistics: Concepts, Sources and Methods*, 2015 (cat. no. 5514.0).

Table 10.13: Major differences between AAS and ABS GFS

Issue	AAS treatment	ABS GFS treatment	Treatment adopted
Circulating coins – seigniorage	The profit between the cost and sale of circulating coins (seigniorage) is treated as revenue.	Circulating coins is treated as a liability, and the cost of producing the coins is treated as an expense.	AAS
Valuation of loans	Changes in the valuation of loans are treated as a revenue or an expense. In some circumstances recognition as a revenue or an expense is delayed until the loan ends or is transferred.	Changes in the valuation of loans (excluding mutually agreed write-downs) are treated as an 'other economic flow'.	ABS GFS
Leases	Right of use assets and lease liabilities are recognised on the balance sheets for leases that were previously accounted for as operating expense.	The distinction between operating leases and finance leases is continued for lessees.	AAS
Concessional loans	Concessional elements are treated as an expense on initial recognition and unwound over the loan term.	Concessional elements are treated as an 'other economic flow'.	AAS
Investment in other public sector entities	Valued at fair value in the balance sheet as long as it can be reliably measured, otherwise net assets is used.	Unlisted entities are valued based on their net assets in the balance sheet.	AAS
Provision for restoration, decommissioning and make-good	Capitalised when the asset is acquired.	Capitalised when make-good activity takes place.	AAS
Renewable Energy Certificates (RECs)	The issuance and registration of RECs is considered to be an administrative function and does not result in the recognition of assets or liabilities and, consequently, no revenue or expenses are recognised.	The issuance and registration of RECs is considered to be government financial transactions resulting in the recognition of assets, liabilities, revenue and expenses.	AAS
Dividends paid by public corporations	Treated as an equity distribution. Equity distributions are treated as a distribution of profits, as opposed to an expense.	Dividends are treated as an expense.	ABS GFS
Dividends paid by the Reserve Bank of Australia	Dividends are recognised in the year profit was earned.	Dividends are recognised when the Treasurer makes a determination.	AAS

Table 10.13: Major differences between AAS and ABS GFS (continued)

Issue	AAS treatment	ABS GFS treatment	Treatment adopted
National Disability Insurance Scheme (NDIS) revenue	Funding contributions by the state and territory governments to NDIS are treated as sales of goods and services revenue. In-kind disability services provided by the state and territory governments are treated as other revenue.	Funding contributions by the state and territory governments to NDIS are treated as grants revenue. In-kind disability services provided by the state and territory governments are treated as sales of goods and services revenue.	AAS
Commercial tax effect accounting assets and liabilities	Corporations in the PNFC and PFC sectors record tax expenses on a commercial basis.	Deferred tax assets and liabilities are reversed so that corporations record tax expenses on a consistent basis to the Australian Taxation Office.	ABS GFS
Regional Broadband Scheme	The revenue from the levy on internet service providers (ISPs) and the associated subsidy expense to NBN Co for the provision of regional broadband services are recorded separately on a gross basis.	The revenue from the levy on ISPs and the associated subsidy expense to NBN Co are recorded on a net basis.	AAS
Fiscal aggregates differences			
Net worth of PNFC and PFC sectors	Calculated as assets less liabilities.	Calculated as assets less liabilities less shares and other contributed capital.	AAS
Net financial worth of PNFC and PFC sectors	Calculated as financial assets less total liabilities.	Calculated as financial assets less total liabilities less shares and contributed capital.	AAS
Classification differences			
Prepayments	Treated as a non-financial asset.	Treated as a financial asset.	ABS GFS
Spectrum sales	Recognise non-financial asset sale for fiscal balance when licences take effect, which may be after the auction of licences, as this is regarded as the point at which control is transferred. Recognise cash at the time of receipt.	Recognise non-financial asset sale for fiscal balance at time of auction as this is regarded as the point at which control is transferred. Recognise cash at the time of receipt.	AAS
Classification of Australian Government funding of non-government schools	Direct grants to states and territories made in accordance with bilateral agreements with the Commonwealth and consistent with section 96 of the Constitution.	Personal benefit payments – indirect included in goods and services expenses.	AAS

Note 3: Taxation revenue by type

	Estimates				
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Individuals and other withholding taxes					
Gross income tax withholding	317,700	333,600	351,100	369,600	393,900
Gross other individuals and trusts	95,500	100,100	103,300	107,900	120,400
<i>less: Refunds</i>	40,400	42,800	46,800	49,700	55,100
Total individuals and other withholding tax	372,800	390,900	407,600	427,800	459,200
Fringe benefits tax	5,560	5,830	6,060	6,360	6,780
Company tax	151,300	157,000	154,600	150,600	153,900
Superannuation fund taxes	33,050	31,590	31,240	32,340	34,590
Petroleum resource rent tax	1,670	1,950	1,620	1,550	1,240
Income taxation revenue	564,380	587,270	601,120	618,650	655,710
Goods and services tax	100,750	109,150	113,820	120,700	127,030
Wine equalisation tax	1,060	1,170	1,210	1,250	1,300
Luxury car tax	1,160	1,110	1,070	1,120	1,160
Excise and Custom duty					
Petrol	6,320	7,720	7,850	7,980	8,080
Diesel	14,960	18,820	19,670	20,520	21,420
Other fuel products	1,500	1,720	1,750	1,780	1,830
Tobacco	4,130	3,560	3,020	2,530	2,140
Beer	2,720	2,830	2,920	3,010	3,120
Spirits	3,270	3,300	3,330	3,360	3,380
Other alcoholic beverages(a)	1,840	1,920	1,990	2,070	2,150
Other customs duty(b)	1,910	1,850	1,430	960	1,020
<i>less: Refunds and drawbacks</i>	1,940	730	730	730	730
Total excise and customs duty	34,710	40,990	41,230	41,480	42,410
Major bank levy	1,940	2,040	2,120	2,210	2,320
Agricultural levies	673	671	710	737	727
Visa application charges	4,668	6,181	6,742	6,989	7,095
Other taxes	7,281	7,700	7,470	7,819	8,029
Mirror taxes	1,060	1,112	1,168	1,229	1,286
<i>less: Transfers to states in relation to mirror tax revenue</i>	1,060	1,112	1,168	1,229	1,286
Mirror tax revenue	0	0	0	0	0
Indirect taxation revenue	152,242	169,013	174,372	182,305	190,070
Taxation revenue	716,622	756,283	775,492	800,955	845,780
<i>Memorandum:</i>					
<i>Total excise</i>	27,960	33,670	34,890	36,130	37,410
<i>Total customs duty</i>	6,750	7,320	6,340	5,350	5,000
<i>Capital gains tax(c)</i>	33,600	34,200	34,000	34,600	35,900

- a) 'Other alcoholic beverages' are those not exceeding 10 per cent by volume of alcohol (excluding beer, brandy and wine).
- b) 'Other customs duty' includes duty paid on textiles, clothing and footwear, passenger motor vehicles and other imports that are not subject to excise equivalent duty.
- c) 'Capital gains tax' is part of gross other individuals and trusts, company tax and superannuation fund taxes.

Note 3(a): Taxation revenue by source

	Estimates				
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Taxes on income, profits and capital gains					
Income and capital gains levied on individuals	378,360	396,730	413,660	434,160	465,980
Income and capital gains levied on enterprises	186,020	190,540	187,460	184,490	189,730
Total taxes on income, profits and capital gains	564,380	587,270	601,120	618,650	655,710
Taxes on employers' payroll and labour force	1,935	1,741	1,723	1,811	1,784
Taxes on the provision of goods and services					
Sales/goods and services tax	102,970	111,430	116,100	123,070	129,490
Excises and levies	28,633	34,341	35,600	36,867	38,137
Taxes on international trade	6,750	7,320	6,340	5,350	5,000
Total taxes on the provision of goods and services	138,353	153,091	158,040	165,287	172,627
Taxes on the use of goods and performance of activities	11,954	14,180	14,609	15,207	15,659
Total taxation revenue	716,622	756,283	775,492	800,955	845,780

Note 4: Sales of goods and services revenue

	Estimates				
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Sales of goods	1,863	1,747	1,912	1,967	1,952
Rendering of services	17,062	18,560	19,651	19,635	19,582
Lease rental	431	429	467	481	500
Fees from regulatory services	2,856	3,085	2,908	2,983	3,060
Total sales of goods and services revenue	22,213	23,821	24,939	25,066	25,094

Note 5: Interest and dividend and distribution revenue

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Interest from other governments					
State and territory debt	8	6	3	2	1
Housing agreements	57	53	48	43	38
Total interest from other governments	65	58	51	44	39
Interest from other sources					
Advances	807	1,298	1,735	2,104	2,393
Deposits	3,359	2,965	2,717	2,686	2,819
Indexation of HELP receivable and other student loans	1,115	1,368	1,195	1,238	1,337
Other	4,870	5,535	5,999	6,361	6,751
Total interest from other sources	10,151	11,166	11,646	12,389	13,300
Total interest	10,216	11,224	11,697	12,433	13,339
Dividends and distributions					
Dividends from other public sector entities	173	117	248	585	859
Other dividends and distributions	7,418	7,688	8,090	8,550	9,045
Total dividends and distributions	7,591	7,805	8,338	9,134	9,904
Total interest and dividend and distribution revenue	17,807	19,029	20,035	21,567	23,243

Note 6: Other sources of non-taxation revenue

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Industry contributions	114	111	120	134	137
Royalties	653	644	533	450	367
Seigniorage	56	62	59	51	51
Other	15,617	15,379	15,110	15,249	15,476
Total other sources of non-taxation revenue	16,439	16,195	15,822	15,884	16,031

Note 7: Employee and superannuation expense

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Wages and salaries expenses	31,790	33,406	32,886	32,674	32,652
Other operating expenses					
Leave and other entitlements	4,124	4,199	4,223	4,144	4,171
Separations and redundancies	137	121	124	86	85
Workers compensation premiums and claims	8,622	6,745	7,871	9,649	9,992
Other	3,134	3,199	3,266	3,431	3,521
Total other operating expenses	16,018	14,265	15,484	17,309	17,770
Superannuation expenses					
Superannuation	9,287	9,443	9,534	9,806	10,206
Superannuation interest cost	14,803	15,884	16,336	16,708	17,092
Total superannuation expenses	24,090	25,327	25,871	26,514	27,298
Total employee and superannuation expense	71,898	72,998	74,241	76,497	77,719

Note 8: Depreciation and amortisation expense

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Depreciation					
Specialist military equipment	5,086	5,619	5,845	6,064	6,272
Buildings	4,366	4,546	4,757	4,755	4,856
Other infrastructure, plant and equipment	3,151	3,203	3,214	3,523	3,718
Heritage and cultural assets	60	64	63	63	63
Other	10	9	10	10	10
Total depreciation(a)	12,674	13,440	13,888	14,416	14,920
Total amortisation	1,214	1,331	1,263	1,266	1,251
Total depreciation and amortisation expense	13,888	14,771	15,151	15,682	16,171
<i>Memorandum:</i>					
Depreciation relating to right of use assets					
Specialist military equipment	39	39	39	39	39
Buildings	2,543	2,558	2,533	2,498	2,559
Other infrastructure, plant and equipment	321	310	296	289	293
Other	10	9	10	10	10
Total depreciation of right of use assets	2,913	2,916	2,878	2,836	2,901

a) Includes depreciation of right of use (leased) assets, resulting from implementation of AASB 16.

Note 9: Supply of goods and services expense

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Supply of goods and services	56,419	56,874	54,272	56,358	58,864
Lease expenses	138	153	150	146	143
Personal benefits – indirect	165,068	174,460	179,832	185,790	190,787
Health care payments	7,737	8,046	7,911	7,775	7,475
Other	2,989	2,588	2,584	2,481	2,464
Total supply of goods and services expense	232,351	242,121	244,748	252,551	259,733

Note 10: Interest expense

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Interest on debt					
Government securities(a)	27,619	31,876	36,911	41,855	46,863
Loans	169	210	231	235	247
Other	1,149	1,163	1,014	1,036	1,069
Total interest on debt	28,937	33,250	38,156	43,126	48,179
Interest on lease liabilities	543	536	544	546	522
Other financing costs	8,829	9,578	10,106	7,861	7,019
Total interest expense	38,310	43,364	48,806	51,533	55,720

a) Public debt interest estimates are calculated using the contract interest rates incurred on existing Australian Government Securities (AGS), previously referred to as Commonwealth Government Securities, when issued and on technical assumptions, based on prevailing market interest rates across the yield curve, for yields on future AGS issuance.

Note 11: Current and capital grants expense

	Estimates				
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Current grants expense					
State and territory governments	182,664	191,166	201,845	211,667	222,474
Private sector	5,330	5,721	5,105	5,516	5,960
Overseas	5,631	4,846	5,106	5,366	5,018
Non-profit organisations	13,958	14,396	13,388	13,046	13,309
Multi-jurisdictional sector	14,274	14,769	15,207	15,839	16,339
Other	3,044	5,521	6,234	5,157	4,820
Total current grants expense	224,901	236,419	246,885	256,592	267,920
Capital grants expense					
Mutually agreed write-downs	13,206	2,517	2,639	2,770	2,898
Other capital grants					
State and territory governments	20,656	15,850	16,129	15,803	14,755
Local governments	1,091	805	1,127	1,120	947
Non-profit organisations	1,323	1,075	889	1,184	677
Private sector	195	213	308	660	652
Multi-jurisdictional sector	4	35	73	38	0
Overseas	70	120	0	0	0
Other	3,450	1,843	1,747	1,843	1,964
Total capital grants expense	39,996	22,459	22,912	23,418	21,893
Total grants expense	264,896	258,878	269,797	280,010	289,813

Note 12: Personal benefits expense

	Estimates				
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Social welfare - assistance to the aged	65,315	68,727	71,651	74,460	77,020
Assistance to veterans and dependants	4,441	4,219	4,107	4,078	4,079
Assistance to people with disabilities	37,519	39,677	41,443	43,106	44,813
Assistance to families with children	32,936	34,465	35,440	36,031	36,642
Assistance to the unemployed	17,641	18,304	17,864	17,662	18,069
Student assistance	2,884	3,044	3,276	3,451	3,646
Other welfare programs	1,022	1,115	1,648	1,657	1,663
Financial and fiscal affairs	1,186	977	908	918	917
Vocational and industry training	417	345	355	435	463
Other	7,936	10,524	14,722	18,288	26,462
Total personal benefits expense	171,296	181,397	191,416	200,086	213,775

Note 13: Advances paid and other receivables

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Advances paid					
Loans to state and territory governments	1,283	1,776	2,220	2,707	2,905
Student loans	45,392	48,567	52,263	56,329	60,724
Other	26,800	39,272	48,011	56,437	61,415
less Impairment allowance	1,055	1,265	1,558	1,750	1,811
Total advances paid	72,420	88,350	100,936	113,722	123,233
Other receivables					
Goods and services receivable	1,335	1,346	1,329	1,244	1,189
Recoveries of benefit payments	6,959	7,194	7,278	7,338	7,396
Taxes receivable	52,139	59,218	64,734	69,581	75,018
Prepayments	6,803	7,029	7,277	7,577	7,947
Other	33,844	36,064	36,944	38,371	39,944
less Impairment allowance	4,340	4,390	4,424	4,447	4,470
Total other receivables	96,739	106,461	113,137	119,665	127,025

Note 14: Investments, loans and placements

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Investments - deposits	9,783	9,216	5,960	5,803	5,532
IMF quota and SDR holdings	25,351	25,099	25,184	25,278	25,343
Structured finance securities	528	869	970	1,072	1,075
Collective investment vehicles	143,484	152,225	161,217	170,810	181,016
Other interest bearing securities	53,451	55,264	56,406	57,354	58,121
Other	28,509	28,643	28,757	28,893	29,896
Total investments, loans and placements	261,106	271,315	278,493	289,210	300,983

Note 15: Non-financial assets

	Estimates				
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Land and buildings					
Land	15,576	15,712	15,884	15,653	15,681
Buildings	54,872	56,515	58,259	57,949	57,555
Total land and buildings	70,447	72,227	74,143	73,602	73,236
Plant, equipment and infrastructure					
Specialist military equipment	99,627	105,316	112,517	122,127	133,210
Other plant, equipment and infrastructure	24,599	26,378	28,017	28,417	28,668
Total plant, equipment and infrastructure	124,227	131,694	140,534	150,544	161,878
Inventories					
Inventories held for sale	376	427	437	515	555
Inventories not held for sale	13,210	13,603	14,051	14,399	14,819
Total inventories	13,586	14,029	14,487	14,914	15,373
Intangibles					
Computer software	7,572	8,056	8,018	7,401	6,916
Other	8,279	9,202	9,177	9,056	8,907
Total intangibles	15,851	17,258	17,195	16,457	15,823
Total investment properties	225	225	225	226	226
Total biological assets	5	5	5	5	5
Total heritage and cultural assets	13,195	13,213	13,232	13,242	13,252
Total assets held for sale	40	35	35	35	35
Total other non-financial assets	6	6	6	6	6
Total non-financial assets(a)	237,582	248,693	259,864	269,032	279,835
<i>Memorandum:</i>					
Total relating to right of use assets					
Land	354	346	337	328	317
Buildings	15,255	14,492	13,828	12,899	11,567
Specialist military equipment	143	118	93	68	42
Other plant, equipment and infrastructure	1,194	955	927	756	530
Total right of use assets	16,945	15,912	15,185	14,050	12,456

a) Includes right of use (leased) assets, resulting from implementation of AASB 16.

Note 16: Loans

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Promissory notes	9,727	9,725	9,725	9,725	9,725
Special drawing rights	19,140	18,886	18,886	18,886	18,886
Other	4,120	5,058	5,728	5,813	5,748
Total loans	32,987	33,670	34,340	34,424	34,360

Note 17: Employee and superannuation liabilities

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Total superannuation liability(a)	317,789	326,908	336,151	344,125	352,061
Other employee liabilities					
Leave and other entitlements	11,428	11,711	11,930	12,176	12,364
Accrued salaries and wages	1,196	1,127	753	788	820
Workers compensation claims	2,104	2,155	2,209	2,322	2,440
Military compensation	81,593	83,551	86,657	90,321	94,088
Other	861	885	894	908	923
Total other employee liabilities	97,182	99,429	102,443	106,515	110,636
Total employee and superannuation liabilities	414,970	426,337	438,594	450,640	462,698

- a) For budget reporting purposes, a discount rate of 5.0 per cent determined by actuaries in preparing the 2023 Long Term Cost Reports is used to value the superannuation liability. This reflects the average annual rate estimated to apply over the term of the liability and it reduces the volatility in reported liabilities that would occur from year to year if the spot rates on long-term government bonds were used. Consistent with AAS, the superannuation liability for the 2024–25 FBO was calculated using the spot rates on long-term government bonds as at 30 June 2025 that best matched each individual scheme's liability duration. These rates were between 3.8 and 5.0 per cent per annum.

Note 18: Provisions and payables

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Suppliers payables					
Trade creditors	8,770	9,256	9,663	10,210	10,790
Lease rental payable	11	11	11	11	11
Personal benefits payables - indirect	3,414	3,264	4,486	5,980	6,247
Other creditors	1,929	1,913	2,603	2,584	2,587
Total suppliers payables	14,124	14,444	16,763	18,785	19,635
Total personal benefits payables - direct	4,840	4,860	4,534	4,929	5,401
Total subsidies payable	632	612	612	612	612
Grants payables					
State and territory governments	127	39	38	33	29
Non-profit organisations	186	187	190	184	182
Private sector	307	277	284	312	387
Overseas	2,018	1,738	2,140	2,186	1,756
Local governments	1	1	1	1	1
Other	3,565	3,576	3,626	3,633	3,641
Total grants payables	6,204	5,819	6,278	6,348	5,995
Total other payables	6,747	6,359	6,263	6,179	6,149
Provisions					
Provisions for tax refunds	1,739	1,734	1,729	1,724	1,719
Grants provisions	17,360	9,975	6,084	3,844	3,338
Personal benefits provisions - direct	7,073	7,235	7,857	8,042	8,185
Personal benefits provisions - indirect	4,346	4,880	5,356	5,758	6,157
Provisions for subsidies	7,944	7,688	7,992	7,195	7,642
Other	93,617	97,504	104,178	109,032	114,453
Total provisions	132,078	129,016	133,196	135,596	141,493

Note 19: Reconciliation of cash

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Net operating balance (revenues less expenses)	-38,982	-17,934	-27,371	-32,601	-23,579
<i>less</i> Revenues not providing cash					
Other	2,384	3,082	3,357	3,695	4,171
Total revenues not providing cash	2,384	3,082	3,357	3,695	4,171
<i>plus</i> Expenses not requiring cash					
Increase/(decrease) in employee entitlements	13,236	11,028	11,912	11,696	11,705
Depreciation/amortisation expense	13,888	14,771	15,151	15,682	16,171
Mutually agreed write-downs	13,206	2,517	2,639	2,770	2,898
Other	8,529	9,743	8,313	9,166	9,198
Total expenses not requiring cash	48,859	38,059	38,015	39,314	39,972
<i>plus</i> Cash provided/(used) by working capital items					
Decrease/(increase) in inventories	-1,005	-884	-916	-900	-944
Decrease/(increase) in receivables	-13,081	-16,051	-16,153	-14,916	-16,475
Decrease/(increase) in other financial assets	-1,589	-2,117	-1,088	-1,719	-1,714
Decrease/(increase) in other non-financial assets	77	-419	-468	-543	-601
Increase/(decrease) in benefits, subsidies and grants payable	951	-7,329	-1,471	-296	1,056
Increase/(decrease) in suppliers' liabilities	-379	429	239	350	299
Increase/(decrease) in other provisions and payables	4,545	4,367	5,528	6,128	6,413
Net cash provided/(used) by working capital	-10,481	-22,004	-14,329	-11,896	-11,966
<i>equals</i> (Net cash from/(to) operating activities)	-2,987	-4,960	-7,041	-8,878	256
<i>plus</i> (Net cash from/(to) investing activities)	-45,994	-61,639	-47,166	-51,885	-45,126
Net cash from operating activities and investment	-48,981	-66,599	-54,206	-60,763	-44,870
<i>plus</i> (Net cash from/(to) financing activities)	43,786	56,592	58,375	62,886	46,787
equals Net increase/(decrease) in cash	-5,196	-10,007	4,169	2,123	1,917
Cash at the beginning of the year	78,872	73,677	63,669	67,839	69,962
Net increase/(decrease) in cash	-5,196	-10,007	4,169	2,123	1,917
Cash at the end of the year	73,677	63,669	67,839	69,962	71,879

Appendix A: Financial reporting standards and budget concepts

The Budget primarily focuses on the financial performance and position of the general government sector (GGS). The GGS provides public services that are mainly non-market in nature and for the collective consumption of the community, or involve the transfer or redistribution of income. These services are largely financed through taxes and other compulsory levies. AASB 1049 recognises the GGS as a reporting entity.

AASB 1049 Conceptual framework

AASB 1049 seeks to ‘harmonise’ the ABS GFS and AAS.

The reporting framework for AASB 1049 requires the preparation of accrual-based general purpose financial reports, showing government assets, liabilities, revenue, expenses and cash flows. GGS reporting under AASB 1049 aims to provide users with information about the stewardship of each government in relation to its GGS and accountability for the resources entrusted to it; information about the financial position, performance and cash flows of each government’s GGS; and information that facilitates assessments of the macroeconomic impact. AASB 1049 also provides a basis for whole-of-government reporting including for the PNFC and PFC sectors.

AASB 1049 has adopted the AAS conceptual framework and principles for the recognition of assets, liabilities, revenues and expenses and their presentation, measurement and disclosure. In addition, AASB 1049 has broadly adopted the ABS GFS conceptual framework for presenting government financial statements. In particular, AASB 1049 requires the GGS to prepare a separate set of financial statements, overriding AASB 10 *Consolidated Financial Statements*. AASB 1049 also follows the ABS GFS by requiring changes in net worth to be split into either transactions or ‘other economic flows’ and for this to be presented in a single operating statement. AASB 1049 is therefore broadly consistent with international statistical standards and the International Monetary Fund’s (IMF) *Government Finance Statistics Manual 2014*.⁴¹

41 Additional information on the Australian accrual GFS framework is available in the ABS publication *Australian System of Government Finance Statistics: Concepts, Sources and Methods*, 2015 (cat. no. 5514.0).

All financial data presented in the financial statements are recorded as either stocks (assets and liabilities) or flows (classified as either transactions or 'other economic flows'). Transactions result from a mutually agreed interaction between economic entities. Despite their compulsory nature, taxes are transactions deemed to occur by mutual agreement between the government and the taxpayer. Transactions that increase or decrease net worth (assets less liabilities) are reported as revenues and expenses respectively in the operating statement.⁴²

A change to the value or volume of an asset or liability that does not result from a transaction is an 'other economic flow'. This can include changes in values from market prices, most actuarial valuations and exchange rates, and changes in volumes from discoveries, depletion and destruction. All 'other economic flows' are reported in the operating statement.

Consistent with the ABS GFS framework, and in general AAS, the financial statements record flows in the period in which they occur. As a result, prior period outcomes may be revised for classification changes relating to information that could reasonably have been expected to be known in the past, is material in at least one of the affected periods and can be reliably assigned to the relevant period(s).

Operating statement

The operating statement presents details of transactions in revenues, expenses, the net acquisition of non-financial assets (net capital investment) and other economic flows for an accounting period.

Revenues arise from transactions that increase net worth and expenses arise from transactions that decrease net worth. Revenues less expenses gives the net operating balance. The net operating balance is similar to the National Accounts concept of government saving plus capital transfers.

The net acquisition of non-financial assets (net capital investment) equals gross fixed capital formation, less depreciation, plus changes (investment) in inventories, plus other transactions in non-financial assets.

'Other economic flows' are presented in the operating statement and outline changes in net worth that are driven by economic flows other than revenues and expenses. Revenues, expenses and 'other economic flows' sum to the total change in net worth during a period. The majority of 'other economic flows' for the Australian Government GGS arise from price movements in its assets and liabilities.

⁴² Not all transactions impact net worth. For example, transactions in financial assets and liabilities do not impact net worth as they represent the swapping of assets and liabilities on the balance sheet.

Net operating balance

The net operating balance is the excess of revenue from transactions over expenses from transactions. The net operating balance excludes expenditure on the acquisition of capital assets but includes non-cash costs such as accruing superannuation entitlements and the consumption of capital (depreciation). By including all accruing costs, including depreciation, the net operating balance encompasses the full current cost of providing government services. This makes it a measure of the sustainability of the government's fiscal position over time and provides an indication of the sustainability of the existing level of government services.

Fiscal balance

The fiscal balance (or net lending/borrowing) is the net operating balance less net capital investment. The fiscal balance includes the impact of net expenditure (effectively purchases less sales) on non-financial assets rather than consumption (depreciation) of non-financial assets.⁴³

The fiscal balance measures the Australian Government's investment-saving balance. It measures in accrual terms the gap between government savings plus net capital transfers and investment in non-financial assets. As such, it approximates the contribution of the Australian Government GGS to the balance on the current account in the balance of payments.

Balance sheet

The balance sheet shows stocks of assets, liabilities and net worth. In accordance with the UPF, net debt, net financial worth and net financial liabilities are also reported in the balance sheet.

Net worth

The net worth of the GGS, PNFC and PFC sectors is defined as assets less liabilities. This differs from the ABS GFS definition for the PNFC and PFC sectors where net worth is defined as assets less liabilities less shares and other contributed capital. Net worth is an economic measure of wealth, reflecting the Australian Government's contribution to the wealth of Australia.

⁴³ The net operating balance includes consumption of non-financial assets because depreciation is an expense. Depreciation is deducted in the calculation of net capital investment as the full investment in non-financial assets is included in the calculation of fiscal balance.

Net financial worth

Net financial worth measures a government's net holdings of financial assets. It is calculated from the balance sheet as financial assets minus liabilities. This differs from the ABS GFS definition of net financial worth for the PNFC and PFC sectors, defined as financial assets, less liabilities, less shares and other contributed capital. Net financial worth is a broader measure than net debt, in that it incorporates provisions made (such as superannuation) as well as equity holdings. Net financial worth includes all classes of financial assets and all liabilities, only some of which are included in net debt. As non-financial assets are excluded from net financial worth, this is a narrower measure than net worth. However, it avoids the concerns inherent with the net worth measure relating to the valuation of non-financial assets and their availability to offset liabilities.

Net financial liabilities

Net financial liabilities comprises total liabilities less financial assets but excludes equity investments in the other sectors of the jurisdiction. Net financial liabilities is a more accurate indicator than net debt of a jurisdiction's fiscal position as it includes substantial non-debt liabilities such as accrued superannuation and long service leave entitlements. Excluding the net worth of other sectors of government results in a purer measure of financial worth than net financial worth as, in general, the net worth of other sectors of government, in particular the PNFC sector, is backed by physical assets.

Net debt

Net debt is the sum of interest bearing liabilities less the sum of selected financial assets (cash and deposits, advances paid and investments, loans and placements). Financial assets include the Future Fund's investments in interest bearing securities and collective investment vehicles (CIVs). CIVs enable investors to pool their money and invest the pooled funds, rather than buying securities directly. Net debt does not include superannuation related liabilities. Net debt is a common measure of the strength of a government's financial position. High levels of net debt impose a call on future revenue flows to service that debt.

The 2015 ABS GFS Manual presents debt in a matrix format, with no single net debt aggregate identified. The Australian Government continues to report net debt in accordance with the UPF as described above.

Cash flow statement

The cash flow statement identifies how cash is generated and applied in a single accounting period. The cash flow statement reflects a cash basis of recording (rather than an accrual basis) where information is derived indirectly from underlying accrual transactions and movements in balances. This, in effect, means that transactions are captured when cash is received or when cash payments are made. Cash transactions are specifically identified because cash management is considered an integral function of accrual budgeting.

Underlying cash balance

The underlying cash balance is the cash counterpart of the fiscal balance, reflecting the Australian Government’s cash investment-saving balance.

For the GCS, the underlying cash balance is calculated as shown below:

Net cash flows from operating activities
<i>plus</i>
Net cash flows from investments in non-financial assets
<i>equals</i>
ABS GFS cash surplus/deficit
<i>plus</i>
Principal payments of lease liabilities
<i>equals</i>
Underlying cash balance

Under the *Future Fund Act 2006*, earnings are required to be reinvested to meet the Government’s future public sector superannuation liabilities. The Government excluded net Future Fund cash earnings from the calculation of the underlying cash balance between 2005–06 and 2019–20. From 2020–21 onwards, net Future Fund cash earnings have been included in the calculation of the underlying cash balance because the Future Fund became available to meet the Government’s superannuation liabilities from this year.

In contrast, net Future Fund earnings have been included in the net operating balance and fiscal balance for all years because superannuation expenses relating to future cash payments are recorded in the net operating balance and fiscal balance.

Net Future Fund earnings are separately identified in the historical tables in *Statement 11: Historical Australian Government Data*.

Headline cash balance

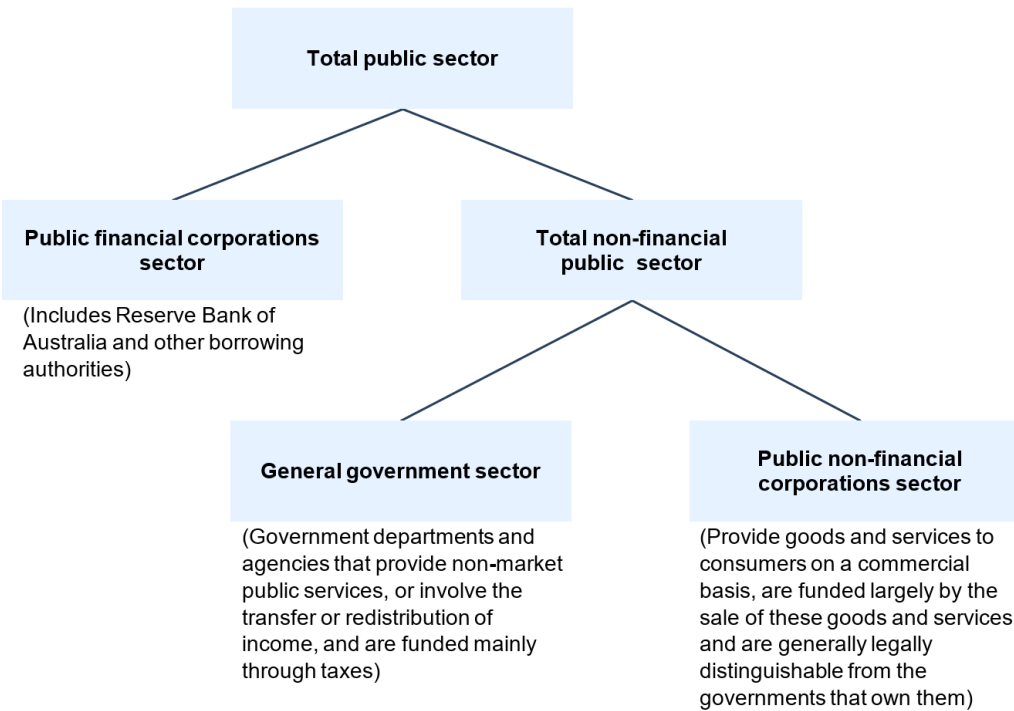
The headline cash balance is calculated by adding net cash flows from investments in financial assets for policy purposes to the underlying cash balance.

Net cash flows from investments in financial assets for policy purposes include equity transactions and advances paid. Equity transactions include equity injections into controlled businesses and privatisations of government businesses. Advances paid include net loans to the states and net loans to students.

Sectoral classifications

To assist in analysing the public sector, data are presented by institutional sector as shown in Figure 10.1. The ABS GFS defines the GGS, PNFC and PFC sectors. AASB 1049 has also adopted this sectoral reporting.

Figure 10.1: Institutional structure of the public sector



All entities are classified as GGS entities except for the following list of portfolio entities that are classified as PFC or PNFC (Table 10.14).

A table which provides a full list of public sector principal entities under the current portfolio structure is available on the Department of Finance website at: <https://www.finance.gov.au/government/managing-commonwealth-resources/structure-australian-government-public-sector/pgpa-act-flipchart-and-list>.

Table 10.14: Entities outside of the general government sector – 2025–26

Public financial corporations
Employment and Workplace Relations Portfolio • Coal Mining Industry (Long Service Leave Funding) Corporation Foreign Affairs and Trade Portfolio • Export Finance and Insurance Corporation (Export Finance Australia) Industry, Science and Resources Portfolio • CSIRO Coinvestment Fund Pty Ltd • CSIRO FollowOn Services Pty Ltd • CSIRO FollowOn Services 2 Pty Ltd • CSIRO General Partner Pty Ltd • CSIRO General Partner 2 Pty Ltd • CSIROGP Fund 2 Pty Ltd • MS GP Fund 3 Pty Ltd • MS NGS Pty Ltd • MS Opportunity Fund Pty Ltd • MS Parallel Fund Pty Ltd Treasury Portfolio • Australian Reinsurance Pool Corporation • Housing Australia – Australian Housing Bond Aggregator (AHBA)* • Reserve Bank of Australia

**Table 10.14: Entities outside of the general government sector – 2025–26
(continued)**

Public non-financial corporations
Climate Change, Energy, the Environment and Water Portfolio • Snowy Hydro Limited Finance Portfolio • ASC Pty Ltd • Australian Naval Infrastructure Pty Ltd • CEA Technologies Pty Limited Health, Disability and Ageing Portfolio • Australian Hearing Services (Hearing Australia) Infrastructure, Transport, Regional Development, Communications, Sport and the Arts Portfolio • Airservices Australia • Australian Postal Corporation (Australia Post) • Australian Rail Track Corporation Limited • National Intermodal Corporation Limited • NBN Co Limited • WSA Co Ltd Prime Minister and Cabinet Portfolio • Voyages Indigenous Tourism Australia Pty Ltd[†]

* Housing Australia, a corporate Commonwealth entity, operates an affordable housing bond aggregator to encourage greater private and institutional investment and provide cheaper and longer term finance to registered providers of affordable housing. The Housing Australia Bond Aggregator is a PFC. Other Housing Australia programs, including the National Housing Infrastructure Facility, are included in the GGS.

[†] Sale of Voyages Indigenous Tourism Australia Pty Ltd was completed effective 27 February 2026.

Appendix B: Assets and Liabilities

Overview

This appendix provides an overview and commentary on Statement 10: *Australian Government Budget Financial Statements* including estimates of the Australian Government’s budgeted assets and liabilities at 30 June for the current year, budget year and three forward years.

Changes in the balance sheet reflect movements in the budgeted operating result and balance sheet transactions.

A more detailed explanation of major assets and liabilities held by Commonwealth entities, which form part of the Australian Government’s balance sheet, can be found in the *Commonwealth Balance Sheet User Guide*, published on the Finance website.

Further information on the Government’s fiscal strategy in relation to the balance sheet can be found in *Statement 3: Fiscal Strategy and Outlook*.

The Australian Government’s assets and liabilities

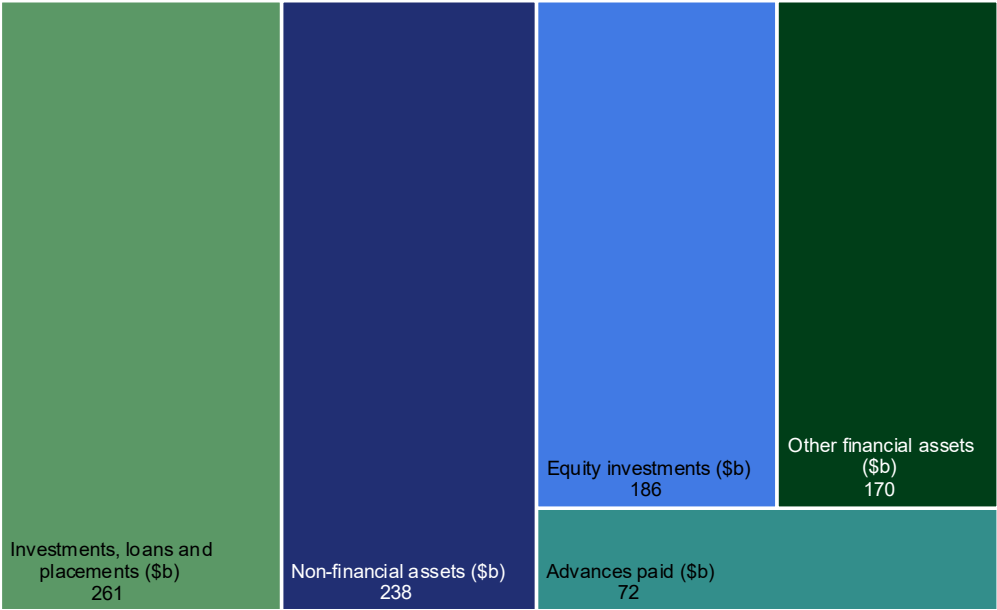
Assets

The Government’s total assets were \$893.0 billion at 30 June 2025, and are estimated to be \$927.9 billion at 30 June 2026 and \$1,143.8 billion at 30 June 2030.



The composition of Australian Government general government sector assets at 30 June 2026 is presented below in Chart 10.B.1.

Chart 10.B.1: Australian Government general government sector asset composition



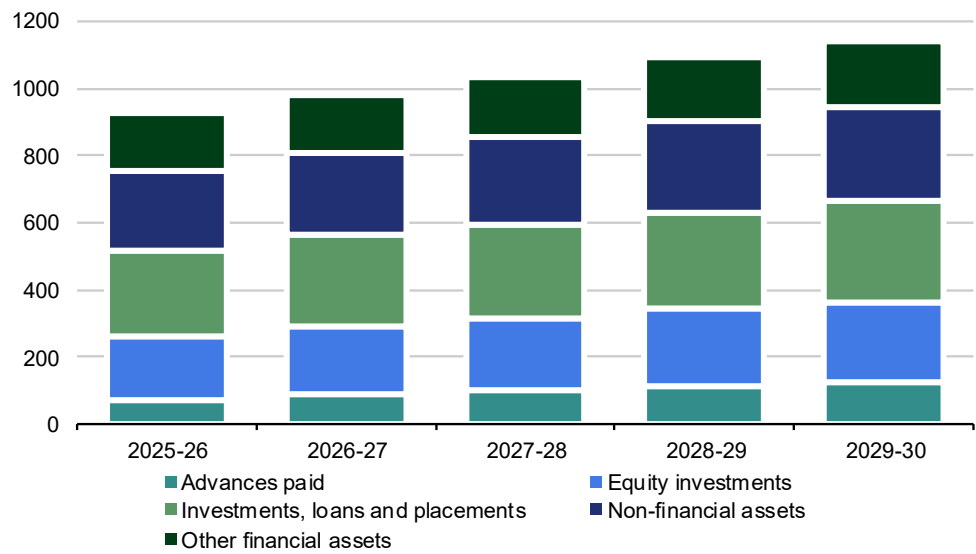
Note: Other financial assets includes cash and deposits and other receivables.

Australian Government assets over the forward estimates

The Government’s total assets are expected to grow over the forward estimates due to increased advances paid, investments and acquisitions of non-financial assets.

The budgeted composition of assets on the Australian Government’s balance sheet is provided in Chart 10.B.2 below.

Chart 10.B.2: Australian Government assets over the forward estimates
\$billion

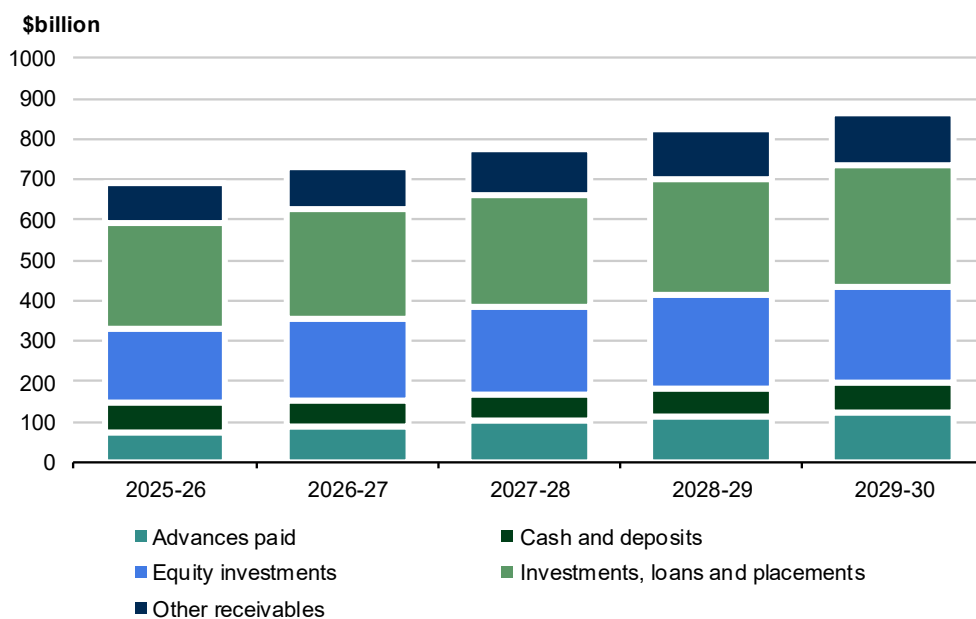


Note: Other financial assets includes cash and deposits and other receivables.

Financial assets

The Government's financial assets are estimated to be \$690.3 billion at 30 June 2026, increasing to \$863.9 billion by 30 June 2030.

Chart 10.B.3: Financial assets over the forward estimates



Advances paid

Advances paid is comprised of the Higher Education Loan Program and other student loan schemes and loans to state and territory governments. The value of advances paid is estimated to grow over the forward estimates predominantly due to expected growth in student loans.

Further details on loans made by the Government are provided in *Statement 9: Statement of Risks*.

Investments, loans and placements

Investments, loans and placements is predominantly comprised of investments held in relation to the Australian Government Investment Funds, which includes the Future Fund, as well as by other entities, such as the Australian Office of Financial Management, the Treasury and Specialist direct Investment Vehicles.

Specialist direct Investment Vehicles include the National Reconstruction Fund Corporation, Clean Energy Finance Corporation, Northern Australia Infrastructure Facility and the Regional Investment Corporation, which provide loans, guarantees and equity injections for projects that deliver public value.

The value of total Australian Government investments, loans and placements is expected to increase steadily over the forward estimates due to forecast investment returns and the investment activities of the Australian Government Investment Funds and Specialist direct Investment Vehicles.

A breakdown of investments, loans and placements is provided in Note 14 to *Statement 10: Australian Government Budget Financial Statements* and further information on the Australian Government Investment Funds is provided below. Further details on loans made by the Government is provided in *Statement 9: Statement of Risks*.

Australian Government Investment Funds

The Australian Government Investment Funds are the: Future Fund, DisabilityCare Australia Fund, Medical Research Future Fund, Aboriginal and Torres Strait Islander Land and Sea Future Fund, Future Drought Fund, Disaster Ready Fund and the Housing Australia Future Fund. Investments held in relation to the Australian Government Investment Funds are predominantly collective investment vehicles, other interest-bearing securities and equity investments.

The budgeted value of Australian Government Investment Funds is provided in Table 10.B.1.

Table 10.B.1: Australian Government Investment Funds balances

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Future Fund	276,545	294,926	314,530	335,441	357,749
DisabilityCare Australia Fund	14,418	11,004	7,450	3,746	-
Medical Research Future Fund	25,533	26,373	27,287	28,252	29,303
Aboriginal and Torres Strait Islander Land and Sea Future Fund	2,558	2,627	2,683	2,741	2,800
Future Drought Fund	5,640	5,859	6,048	6,266	6,491
Disaster Ready Fund	5,112	5,394	5,660	5,941	6,236
Housing Australia Future Fund	11,271	11,376	11,420	11,471	11,512
Total investment funds	341,077	357,559	375,078	393,858	414,091

Future Fund

The Future Fund was established in 2006 to accumulate financial assets and invest them on behalf of the Australian Government to address the Government's unfunded superannuation liability. The Government provides guidance to the Future Fund Board of Guardians (the Future Fund Board) in relation to its investment strategy through the issuance of an investment mandate. The Board is independently responsible for the investment decisions of the Future Fund.

The investment mandate for the Future Fund sets a benchmark rate of return of at least CPI plus 4.0 to 5.0 per cent per annum over the long-term. It requires the Future Fund Board to have regard to national priorities in performing its investment functions. National priorities comprise: supporting an energy transition as part of the net zero transformation of the Australian economy, increasing the supply of residential housing in Australia, and delivering improved infrastructure located in Australia. The investment mandate also requires the Board to take an acceptable, but not excessive, level of risk, measured in terms such as the probability of losses in a particular year.

Between establishment and 31 March 2026, the average return has been 8.0 per cent per annum against the benchmark return of 7.0 per cent. For the 12-month period ending 31 March 2026, the Future Fund return was 11.7 per cent against a benchmark return of 8.1 per cent. The Future Fund was valued at \$269.1 billion as at 31 March 2026.

Table 10.B.2 shows changes in the asset allocation of the Future Fund since 31 March 2025.

Table 10.B.2: Asset allocation of the Future Fund

Asset class	31-Mar-26 \$m	31-Mar-26 % of Fund	31-Mar-25 \$m	31-Mar-25 % of Fund
Australian equities	28,723	10.7	26,144	10.9
Global equities				
<i>Developed markets</i>	77,566	28.8	65,057	27.0
<i>Emerging markets</i>	11,768	4.4	13,926	5.8
Private equity	34,211	12.7	33,284	13.8
Property	10,731	4.0	11,604	4.8
Infrastructure & Timberland	30,373	11.3	24,633	10.2
Debt securities	22,472	8.4	22,439	9.3
Alternative assets	41,185	15.3	36,183	15.0
Cash	12,026	4.5	7,492	3.1
Total Future Fund assets	269,055	100.0	240,762	100.0

Note: Figures may not sum due to rounding.

DisabilityCare Australia Fund

The DisabilityCare Australia Fund (DCAF) was established on 1 July 2014 to assist the Commonwealth and the state and territory governments with spending directly related to the National Disability Insurance Scheme.

The DCAF is funded by revenue raised from the 0.5 per cent increase in the Medicare levy to 2.0 per cent, set in 2014–15. As at 31 March 2026, the DCAF had received credits totalling \$46.9 billion. Since inception to 31 March 2026, \$32.7 billion has been paid from the DCAF.

The investments of the DCAF are managed by the Future Fund Board. The Investment Mandate for the DCAF provides guidance to the Future Fund Board in relation to its investment strategy for the DCAF. The DCAF Investment Mandate sets a benchmark return of the Australian 3-month bank bill swap rate plus 0.3 per cent per annum calculated on a rolling 12-month basis (net of fees). In achieving its objectives, the Board must invest in a way that minimises the probability of capital losses over a 12-month horizon.

For the 12-month period ending 31 March 2026, the DCAF return was 4.3 per cent against the benchmark return of 4.1 per cent. The DCAF was valued at \$18.2 billion as at 31 March 2026.

Medical Research Future Fund

The Medical Research Future Fund (MRFF) was established on 26 August 2015 to provide additional funding for medical research and medical innovation.

The investments of the MRFF are managed by the Future Fund Board. The Investment Mandate for the MRFF provides broad direction to the Future Fund Board in relation to its investment strategy. The MRFF Investment Mandate sets a benchmark return of the Reserve Bank of Australia's Cash Rate target plus 1.5 to 2.0 per cent per annum, net of costs, over a rolling 10-year term.

Since inception to 31 March 2026, MRFF investments have returned 5.2 per cent per annum against a benchmark return of 3.5 per cent. For the 12-month period ending 31 March 2026, the MRFF's return was 8.7 per cent against the benchmark return of 5.3 per cent. The MRFF was valued at \$25.4 billion as at 31 March 2026.

Aboriginal and Torres Strait Islander Land and Sea Future Fund

The Aboriginal and Torres Strait Islander Land and Sea Future Fund (ATSILSFF) was established on 1 February 2019 to support payments to the Indigenous Land and Sea Corporation.

The ATSILSFF was seeded with the capital of the former Aboriginal and Torres Strait Islander Land Account (Land Account) – approximately \$2.0 billion. The Land Account was abolished on the establishment of the ATSILSFF.

The investments of the ATSILSFF are managed by the Future Fund Board. The Investment Mandate for the ATSILSFF provides broad direction to the Future Fund Board in relation to its investment strategy. The ATSILSFF Investment Mandate sets a long-term benchmark return of CPI plus 2.0 to 3.0 per cent per annum, net of costs.

Since inception to 31 March 2026, ATSILSFF investments have returned 6.4 per cent per annum against a benchmark return of 5.7 per cent. For the 12-month period ending 31 March 2026, the ATSILSFF returned 10.0 per cent against a benchmark return of 6.1 per cent. The ATSILSFF was valued at \$2.5 billion as at 31 March 2026.

Future Drought Fund

The Future Drought Fund (FDF) was established on 1 September 2019 to fund initiatives that enhance future drought resilience, preparedness and response across Australia.

The FDF provides disbursements of \$100.0 million per annum, with the first disbursement made in July 2020.

The investments of the FDF are managed by the Future Fund Board. The Investment Mandate for the FDF provides broad direction to the Future Fund Board in relation to its investment strategy. The FDF Investment Mandate sets a long-term benchmark return of CPI plus 2.0 to 3.0 per cent per annum, net of costs.

Since inception to 31 March 2026, FDF investments have returned 7.8 per cent per annum against a benchmark return of 5.9 per cent. For the 12-month period ending 31 March 2026, the FDF returned 10.0 per cent against the benchmark return of 6.1 per cent. The FDF was valued at \$5.5 billion as at 31 March 2026.

Disaster Ready Fund

The Disaster Ready Fund (DRF) was initially established as the Emergency Response Fund (ERF) on 12 December 2019 and provided up to \$150.0 million per year for emergency response and recovery, and up to \$50.0 million per year for natural disaster resilience and risk reduction.

On 1 March 2023, legislative changes took effect that renamed the ERF as the DRF and allowed up to \$200.0 million per annum to be drawn from the DRF to fund natural disaster resilience and risk reduction from 2023–24 onwards.

The investments of the DRF are managed by the Future Fund Board. The Investment Mandate for the DRF provides broad direction to the Future Fund Board in relation to its investment strategy. The DRF Investment Mandate sets a long-term benchmark return of CPI plus 2.0 to 3.0 per cent per annum, net of costs.

Since inception to 31 March 2026, DRF investments have returned 7.8 per cent per annum against a benchmark return of 5.9 per cent. For the 12-month period ending 31 March 2026, the DRF returned 9.9 per cent against the benchmark return of 6.1 per cent. The DRF was valued at \$5.0 billion as at 31 March 2026.

Housing Australia Future Fund

The Housing Australia Future Fund (HAFF) was established on 1 November 2023 and credited with \$10.0 billion. The HAFF is an investment vehicle dedicated to supporting and increasing social and affordable housing, as well as supporting other acute housing needs such as Indigenous communities and housing services for women, children and veterans.

The investments of the HAFF are managed by the Future Fund Board. The Investment Mandate for the HAFF provides broad direction to the Future Fund Board in relation to its investment strategy. The HAFF Investment Mandate sets a long-term benchmark return of CPI plus 2.0 to 3.0 per cent per annum, net of costs.

Since inception to 31 March 2026, HAFF investments have returned 8.1 per cent per annum against a benchmark return of 4.9 per cent. For the 12-month period ending 31 March 2026, the HAFF returned 9.7 per cent against the benchmark return of 6.1 per cent. The HAFF was valued at \$11.5 billion as at 31 March 2026.

Specialist direct Investment Vehicles

Specialist direct Investment Vehicles make investments in projects, businesses and joint ventures to deliver Australian Government policy objectives. Each Specialist direct Investment Vehicle has discrete policy objectives and uses a specific set of financial instruments to achieve them, including concessional loans, debt issuances and equity investments.

Specialist direct Investment Vehicles are usually corporate Commonwealth entities (CCEs) established by enabling legislation that define the entity's functions and the roles and responsibilities of the independent board as the accountable authority. The only exception is the Australian Infrastructure Financing Facility for the Pacific, which is part of the Department of Foreign Affairs and Trade (a non-corporate Commonwealth entity).

The Australian Government has eight Specialist direct Investment Vehicles:

Australian Infrastructure Financing Facility for the Pacific

The Australian Infrastructure Financing Facility for the Pacific (AIFFP) commenced on 1 July 2019 and provides grants, loans and guarantees to sovereign, state owned enterprise and private sector partners for infrastructure investments in Pacific island countries and Timor-Leste.

The objective of AIFFP is to advance Australia's national interest by contributing to a stable, secure and prosperous Pacific. AIFFP prioritises projects that assist countries to respond and adapt to climate change risks and impacts, as part of the Government's Pacific Climate Infrastructure Financing Partnership.

As at 30 June 2025, AIFFP administered \$1 billion in grants of which \$520.0 million had been committed to projects. AIFFP also provides up to \$3 billion in loans and guarantees issued by Export Finance Australia on its behalf via the National Interest Account.

Australian Renewable Energy Agency

Established as a CCE by the *Australian Renewable Energy Agency Act 2011*, the Australian Renewable Energy Agency (ARENA) provides grant funding to support research, development and early commercialisation for renewable energy technology projects.

ARENA invests in priority sectors including ultra low-cost solar, renewable electricity, renewable hydrogen, low-emissions metals, low-emissions transport, low-carbon liquid fuels and clean energy manufacturing.

As it provides grants ARENA does not generate a return on funds invested, however, some projects include contingent recoupment rights. Grants are determined by an independent board based on maximum impact and value.

As at 30 June 2025, ARENA was responsible for administering up to \$13 billion in grants.

Clean Energy Finance Corporation

The Clean Energy Finance Corporation (CEFC) was established as a CCE by the *Clean Energy Finance Corporation Act 2012* (CEFC Act). The CEFC Act defines complying investments as including:

- clean energy technologies: energy efficiency, low-emission and renewable energy technologies
- solely or mainly Australian based: determined by the Board and consistent with the investment mandate
- not in prohibited technology; carbon capture and storage, nuclear technology and nuclear power.

The CEFC performs its investment functions in accordance with the *Clean Energy Finance Corporation Investment Mandate Direction 2023*. The investment mandate broadly requires the CEFC to facilitate increased flows of finance into the clean energy sector and to facilitate the achievement of Australia's greenhouse gas emissions reduction target. The investment mandate also sets out investment direction, benchmark rates of return, portfolio risk and limits on concessionality for the General Portfolio, the Rewiring the Nation Fund and the Specialised Investment Funds.

As at 30 June 2025, CEFC had \$34.9 billion made available to it for investment, of which \$12.1 billion had been committed to projects.

Export Finance Australia

Export Finance Australia (EFA) was established as a CCE by the *Export Finance and Insurance Corporation Act 1991*. EFA is the Australian Government's export credit agency and supports Australian export trade and overseas infrastructure development that benefits Australia, through loans, bonds, guarantees, insurance and equity investments. EFA is a self-funding entity and operates on a commercial basis, charging customers fees and premiums as well as earning interest on loans and investments.

EFA provides financial support to exporters on one of two accounts: the Commercial Account, where EFA carries all risks and losses, and retains all margins and fees; and the National Interest Account, where the responsible Minister can direct EFA to support transactions that are in the national interest.

As at 30 June 2025, EFA had \$8.3 billion in committed funding.

Housing Australia

Established as a CCE by the *Housing Australia Act 2018* (Housing Australia Act), Housing Australia improves social and affordable housing outcomes for Australians through loans and grants, guarantees and capacity development for community housing providers, and delivering programs to help more Australians access social and affordable housing. Housing Australia performs its investment functions in accordance with its investment mandate.

The investment mandate for Housing Australia outlines the activities and allocation of funds for the Affordable Housing Bond Aggregator (AHBA), the National Housing Infrastructure Facility (NHIF), the Housing Australia Future Fund Facility, the National Housing Accord Facility, the Help to Buy Scheme and the Home Guarantee Scheme. For the AHBA, Housing Australia must target an average return that covers the operating costs of the AHBA and allows it to build an adequate capital reserve. For the NHIF it must target a rate of return that allows it to maintain the value of funds allocated to it plus the Commonwealth cost of capital.

As at 30 June 2025, Housing Australia had committed \$26.7 billion to projects. This does not include investments of the HAFF, which is administered by the Future Fund.

National Reconstruction Fund Corporation

The National Reconstruction Fund Corporation (NRFC) was established as a CCE by the *National Reconstruction Fund Corporation Act 2023*. The NRFC makes investment decisions to support, diversify and transform Australia's industry and economy, help to create secure, well-paid jobs, secure future prosperity, and drive sustainable economic growth. The NRFC provides debt, equity and guarantees to facilitate increased flows of finance into the following priority areas of the Australian economy identified in regulation: renewables and low emission technologies, value-add in agriculture, forestry and fisheries, transport, medical science, renewables and low emission technologies, defence capability, and enabling capabilities.

The NRFC must target an average return of between 2 and 3 per cent above the 5-year Australian Government bond rate.

As at 30 June 2025, NRFC had \$15.0 billion available to it for investment.

Northern Australia Infrastructure Facility

The Northern Australia Infrastructure Facility (NAIF) was established as a CCE by the *Northern Australia Infrastructure Facility Act 2016* to provide finance to businesses and infrastructure projects for the development of Northern Australia's economy. NAIF's area of operation includes all of the Northern Territory and those parts of Queensland and Western Australia above or directly below or intersecting with the Tropic of Capricorn. NAIF's projects stimulate economic growth by attracting private investment and fostering infrastructure development.

The NAIF is required to make investments to support one or more of five Government policy priorities, including: sustainable and resilient economic development and the alleviation of economic or social disadvantage; key infrastructure projects; sustainability, climate change and circular economy principles; realising the Critical Minerals Strategy; and materially improving the lives of Indigenous people and communities.

When providing financial assistance, which is primarily through loans, the NAIF must be satisfied that the return is likely to cover at least its administrative costs and the Commonwealth's cost of borrowing. For equity or equity-like investments the NAIF must target a return of at least the 5-year Australian Government bond rate plus a premium of 3 per cent per annum.

As at 30 June 2025, NAIF had \$7.0 billion made available to it for investment of which \$3.7 billion had been committed to projects.

Regional Investment Corporation

Established as a CCE by the *Regional Investment Corporation Act 2018*, the Regional Investment Corporation (RIC) administers concessional loans for farm businesses. These loans support the resilience and sustainability of Australia's agricultural economy, with a focus on assisting eligible farm businesses and farm-related businesses to remain prosperous and grow.

RIC loans can be used to prepare for, manage through, and recover from severe financial disruption outside of a farmer's control such as drought, natural disasters, biosecurity and market issues. RIC loans can also be used to help new and next generation farmers set up farms and keep farms in the family through succession planning. The majority of RIC loans provide up to 5 years interest-only and a 10-year loan term, allowing borrowers to generate positive cashflows before repayment of principal. The RIC sets the variable interest rates on its loan products with reference to the average Australian Government 10-year bond rate plus a margin.

As at 30 June 2025, RIC had \$3.5 billion made available to it for investments of which \$3.2 billion had been provided as loans to customers.

Equity investments

Equity investments is comprised of three components:

- investments in those Government Business Enterprises that are public non-financial corporations including NBN Co, Snowy Hydro Limited and the Australian Rail Track Corporation.
- investments in other public sector entities outside the general government sector, including certain components of Specialist direct Investment Vehicles such as Export Finance Australia and Housing Australia, and investments held by Specialist direct Investment Vehicles inside the general government sector, such as the Clean Energy Finance Corporation and the National Reconstruction Fund Corporation.
- investments held in relation to the Australian Government Investment Funds, such as shares, which are expected to increase steadily over the forward estimates due to additional contributions from Government and expected investment returns over time.

Government Business Enterprises

Government Business Enterprises (GBEs) represent a significant proportion of equity investments held by the Australian Government.

These are commercially focused government owned businesses that are established to fulfil an Australian Government purpose. They make a substantial contribution to the Australian economy by supporting productivity, job creation and Government policy objectives.

Further information on the financial performance of individual GBEs is included in the annual report for each entity, including details of equity contributed by the Australian Government. GBE valuations are updated annually in accordance with Australian Accounting Standards and reported by the relevant portfolio department in its annual report.

Non-financial assets

The Government's non-financial assets are estimated to be \$237.6 billion at 30 June 2026, increasing to \$279.8 billion by 30 June 2030.

Non-financial assets comprise assets such as land, buildings and property, plant and equipment and right-of-use lease assets. Non-financial assets are expected to grow consistently over the forward estimates predominantly due to increased investments in Specialised Military Equipment.

Liabilities

The Government’s total liabilities were \$1.5 trillion at 30 June 2025, and are expected to increase to around \$1.9 trillion by 30 June 2030.

The composition of Australian Government general government sector liabilities at 30 June 2026 is presented below in Chart 10.B.4.

Chart 10.B.4: Australian Government liabilities composition



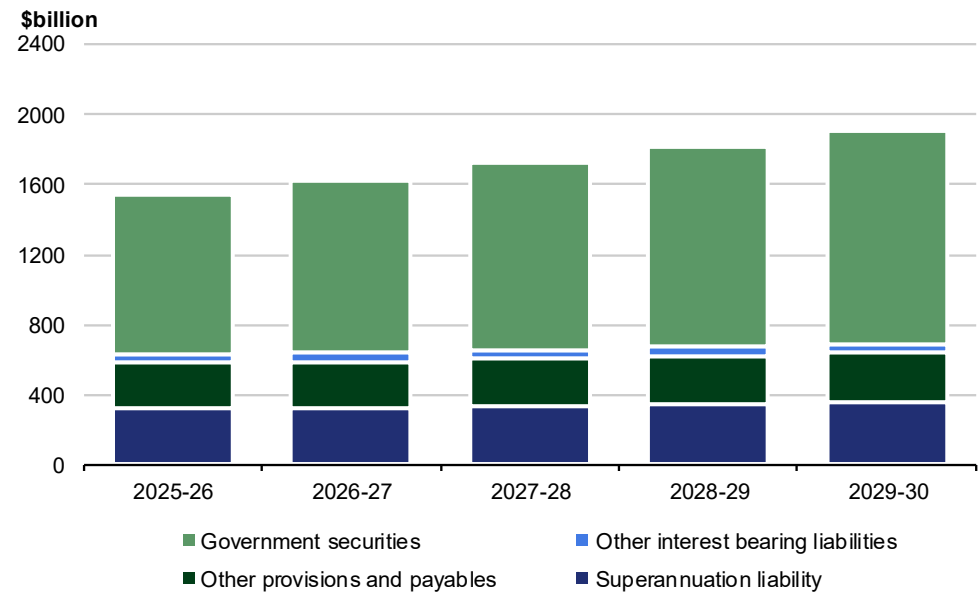
The Government’s major liabilities are Australian Government securities on issue (see *Statement 7: Debt Statement* for further information) and public sector employee superannuation liabilities.

Further information on the Government’s borrowings is provided in *Statement 7: Debt Statement*.

Australian Government liabilities over the forward estimates

The budgeted composition of liabilities on the Australian Government’s balance sheet is provided in Chart 10.B.5 below.

Chart 10.B.5: Composition of Australian Government liabilities over the forward estimates



Note: Other interest-bearing liabilities includes deposits held, loans and lease liabilities. Other provisions and payables includes other employee liabilities, suppliers payable, personal benefits payable, subsidies payable, grants payable, other payables and provisions.

Total liabilities are expected to grow consistently over the forward estimates, which is predominantly due to growth in government securities on issue and superannuation liabilities.

Government securities

Government securities on the Australian Government’s balance sheet reflect the market value of the Australian Government securities on issue, consistent with external reporting standards. Further detail on the face value of Australian Government securities can be found in *Statement 7: Debt Statement*.

Public sector employee superannuation liabilities

Public sector employee superannuation entitlements relating to past and present civilian employees and military personnel are a financial liability on the Government's balance sheet. Total superannuation liabilities are projected to be \$317.8 billion at 30 June 2026, \$352.1 billion at 30 June 2030 and approximately \$454.7 billion at 30 June 2060.

These liabilities represent the present value of future unfunded superannuation benefits relating to past and present employees and are based on an actuarially determined discount rate. The long-term nature of the unfunded superannuation liabilities requires the use of a discount rate that best matches the duration of the liabilities. The use of a long-term discount rate for budget purposes avoids the volatility that would occur by using current market yields on Government bonds. The value recorded on the balance sheet is highly sensitive to the discount rate used.

In preparing the latest Long Term Cost Reports for the civilian and military schemes, the scheme actuaries determined that a discount rate of 5.0 per cent should be applied.

The Australian Government has never fully funded its defined benefit scheme superannuation liabilities. However, the Future Fund was established in 2006 to help finance the Government's unfunded superannuation liabilities.

For civilian employees, the major defined benefit schemes are the Commonwealth Superannuation Scheme and the Public Sector Superannuation Scheme. These schemes were closed to new members in 1990 and 2005 respectively. The Public Sector Superannuation Accumulation Plan was introduced on 1 July 2005 and provides fully funded accumulation benefits for new civilian employees from that date.

For military personnel, the defined benefit schemes are the Defence Force Retirement and Death Benefits Scheme, the Defence Forces Retirement Benefits Scheme and the Military Superannuation and Benefits Scheme (MSBS). Following the closure of the MSBS on 30 June 2016, all defined benefit military schemes are now closed to new members. A new military superannuation accumulation scheme, Australian Defence Force (ADF) Super, commenced on 1 July 2016. ADF Super is accompanied by a statutory death and disability arrangement ADF cover.

While there have not been any new members to the public service and military defined benefit schemes since closure in 2005 and 2016 respectively, the Government's unfunded superannuation liabilities are expected to grow as current members continue to accrue benefits prior to retirement. Consistent with the 2023 Long Term Cost Reports, the unfunded liability for public service defined benefit schemes is projected to peak in the mid-2030's, whilst the unfunded liability for military defined benefit schemes is projected to continue to increase over time to 2060. The present value of the superannuation liability is also sensitive to changes in the discount rate.

As the superannuation liabilities are included in the Government's net worth and net financial worth aggregates, revaluations of the liabilities have an impact on these aggregates.

The value of superannuation liabilities by scheme is provided in Table 10.B.3 below.

Table 10.B.3: Superannuation liabilities by scheme

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
<i>Civilian superannuation schemes</i>					
Commonwealth Superannuation Scheme	60,760	59,018	57,188	55,277	53,290
Public Sector Superannuation Scheme	110,121	115,187	120,529	124,589	128,410
Parliamentary Contributory Superannuation Scheme	791	779	767	753	737
Governors-General Scheme	20	20	20	20	31
Judges' Pensions Scheme	1,337	1,386	1,439	1,490	1,539
Division 2 Judges of the Federal Circuit and Family Court of Australia Death and Disability Scheme	5	6	7	7	8
Total civilian schemes	173,034	176,396	179,950	182,136	184,015
<i>Military superannuation schemes</i>					
Military Superannuation and Benefits Scheme	106,604	110,618	114,372	117,858	121,346
Defence Force Retirement and Death Benefits Scheme	28,758	28,228	27,655	27,039	26,383
Defence Forces Retirement Benefits Scheme	265	245	226	207	188
Australian Defence Force Cover	8,880	11,170	13,783	16,711	19,949
Total military schemes	144,508	150,261	156,036	161,816	167,865
Other schemes	247	251	165	173	181
Total	317,789	326,908	336,151	344,125	352,061

Other provisions and payables

Other provisions and payables includes all other Government liabilities including liabilities, provisions for other employee entitlements such as leave, unpaid grants, subsidies, personal benefits, and payments to suppliers.

